

IN PRIVATE

Case No: BV20D01752

IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: Thursday, 22 February 2024

Start Time: 10:32 Finish Time: 16:13

Before:

MR JUSTICE MacDONALD

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR B MOLYNEUX KC (instructed by **AFP Bloom Solicitors**) for the **Applicant**

MS A CAMPBELL and **MS S-A AMAOUCHE** (instructed by **Stowe Family Law**) for the
Respondent

PROCEEDINGS
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(Transcript prepared without access to case documentation)

A

MR JUSTICE MacDONALD: Yes, Ms Campbell.

B

MS CAMPBELL: Good morning, my Lord. My Lord, before I continue with my cross-examination, at the Bar we have reached a consensus that we would like to recommend to you if you are happy with this.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Obviously, Mrs Zahmoul has made her case very clear in her statement.

C

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: And my client has made his case very clear in his statement.

MR JUSTICE MacDONALD: Yes.

D

MS CAMPBELL: I have put quite a lot of the points that my client has made in his written evidence to the applicant.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: It is agreed between us that Mr Molyneux will not take any objection if in submissions I make summary and make references to what is said in the statements ----

E

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- without putting each point to Mrs Zahmoul in evidence because we would be here forever if I were to do that.

MR JUSTICE MacDONALD: Indeed.

F

MS CAMPBELL: And so whilst Mr Molyneux does not accept my case, and obviously Mr Zahmoul challenges it ----

MR JUSTICE MacDONALD: Yes.

G

MS CAMPBELL: -- I am not going to, if you are happy with this, put any further points about the non-disclosure. Simply, as I said at the start in my examination of Mrs Zahmoul, Mr Zahmoul rejects her case and says that not only is it not true, it is not comprehensible.

MR JUSTICE MacDONALD: Yes.

H

MS CAMPBELL: Having illustrated that to some degree and allowing Mrs Zahmoul to express her position, I will move on from that topic if you are content with that.

MR JUSTICE MacDONALD: I think that is a very sensible approach in the circumstances and I am grateful to you and Mr Molyneux for having that discussion.

MS CAMPBELL: Thank you.

MR JUSTICE MacDONALD: Yes.

A

Mrs NADIA ZAHMOUL, Resumed

Cross-examined by MS CAMPBELL (Cont'd)

MS CAMPBELL: Mrs Zahmoul, good morning to you.

A. Good morning.

B

Q. I wonder if you would have a look in the bundle for me please, at page 1073? This is...
Sorry, I think I have given you the wrong reference. (After a pause) 1193, I am so sorry.
I have given you the wrong page number. It is 1193. This is an email of the 16
November 2016 from you to Mr Zahmoul, and it is talking about an investment called
“Ambience” and you are explaining to him “It looks very interesting, large market,
good demographic” and so on. Is this conversation arising out of information that Mr
Zahmoul passed to you? He said, “Look, here's an investment, Ambience. What do you
think about it?”

C

A. Your Lordship, yes. The respondent received very often ----

Q. Sorry, will you answer my question?

A. Sorry, I am sorry, yes. I'm getting there.

Q. So he was asking for your opinion?

E

A. Yes and based on a business model, a spreadsheet and a presentation of the business that
is ----

Q. Thank you?

A. -- not yet public.

F

Q. He is asking your opinion.

A. Yes.

Q. Can you have a look at page 1230, please? This is another business investment. You
can see in the middle of the page, which is the second message underneath: “Subject re
Yume(?)” Can you see that?

G

A. Absolutely, yes.

Q. And this was in 2017. This was another investment opportunity that Mr Zahmoul was
forwarding to you, again, to sort of sound your opinion. Is that fair?

H

A. That is correct. It is also another similar business, not yet public.

Q. Can you have a look at page 1198, please? Now you can see this is an email in 2018 and
this is again from your husband to you about a crypto fund. It says here: “Subject draft

A

crypto fund presentation.” If you just look over the page, you can see the presentation that he is forwarding, a multi-coin fund, February 2018.

A. This is correct, yes.

Q. This is another fund that Mr Zahmoul was sending to you to have a look at it. Is that fair?

B

A. Not correct. The other two were not funds. This one is a fund. It’s very different, but ----

Q. Why was he sending it to you?

C

A. Your Lordship, Mr -- the respondent, sent me typically business plans or business models because I was -- to get my take, my analysis, my fundamental analysis on the business, usually free public -- not all of them, but there is no such thing as conduct, if you think of conduct.

D

Q. Can you have a look for me please in the bundle of page 4320? 43-20. I am sorry, I apologise. I think I have got a different page reference because I have added the section 25 statement to my bundle and I am sorry. It does not exist in your bundle. Let me see where it will be. (After a pause) I think it is an exhibit to the statement. Let me just find it. I think it is an exhibit to Mr Zahmoul’s statement. Let me find the reference there. It is page 524. I am just trying to check which page this is, but I believe it is Mr Zahmoul’s statement. Do you have a 524?

E

A. It only goes up to 47 in the internal numbering. There is no ----

F

Q. Yes, it is an exhibit to Mr Zahmoul’s section 25 statement. So if you go to the first page of the exhibits, you should have an email there, 18 May 2018. Do you have that, Mrs Zahmoul?

MS CAMPBELL: My Lord, do you have this document?

G

MR JUSTICE MacDONALD: Just give me a moment. (After a pause) Yes, thank you.

MS CAMPBELL: Thank you, my Lord, Mrs Zahmoul, this is a document. that Mr Zahmoul passed to you. It is the firm’s contract for working for Sphere Digital, as I understand it?

A. Yes.

H

Q. And he sent you the contract and asked you to have a look at it and what we can see there in your message, 18 May, 9:22. “I have read through ... through thoroughly.” And so this is you again giving your opinion on the contract and what you thought about it.

A. That is right.

A

Q. Thank you. Can you have a look please at 2095? Again, we are in 2019. This is a message from Mr Zahmoul to you. And if you can read it -- I do not know if it is legible on your document, it looks like he sent a whole collection of documents that refer to his tax return for the UK and the US. Do you recognise that?

B

A. Yes.

Q. So he was sending you this information to compile the tax returns. Is that right?

A. No, I am sorry, that is not correct. We had purchased a house in Cheltenham.

Q. Yes.

C

A. At 975. I think we put a down-payment of three something, and this was the mortgage application to Barclays, which we sold the house the next year.

Q. So, this was evidence to try and get a mortgage from Barclays.

A. From Barclays.

D

Q. And he had forwarded these documents to you?

A. And the mortgage was withdrawn the next year.

Q. I understand. Thank you. Would you have a look please in the bundle at 2338? We are now in 2020. This is a WhatsApp conversation between you and Mr Zahmoul. Can you tell me what this is about, this page here?

E

A. So February 28th.

Q. It looks like ----

A. I'm sorry, the white one is... Okay so this is Russian and so the white is the respondent and we ----

F

Q. It looks like you are saying, "Should I buy back?" or ----

A. I am sorry excuse me.

Q. As I understand it the green, "Should I buy back?" is Mr Zahmoul asking your opinion and you reply, "Stay or remain(?) back in US equity."

G

A. I don't... What's Sugarneft ADR? I don't -- "open trade remaining in Sugarneft. That sounds like Russian ADR. I don't own any -- I do not know. Can I just get two seconds?

H

Q. Sure, absolutely.

A. "Useful also..." I was telling him useful. "How do you use it?"

Q. It looks as if you are making a record for him. You are saying something about "for your records on Monday that will reflect the following trades." It looks like you are keeping a list of ----

A

A. I'm really sorry.

Q. I am told that this is something that was sent to my client, to Mr Zahmoul by UBS, and he was sending it to you.

A. Oh, okay. Great.

B

Q. Does that make sense?

A. Yes, okay. That sounds good. On 25 February ----

Q. 2020?

A. -- I would have known a couple of (inaudible due to overspeaking)

C

Q. Have a look now in the bundle of 1433?

A. Thank you.

Q. Again, we are in 2020. We can see the date in the bottom part of the WhatsApp ----

A. I'm sorry. I'm just trying to understand if it is American or English, that date.

D

Q. He is in green; you are in white?

A. Are we in February or April? I just need one second for context, because that is very different.

Q. I think it is February, I am told.

E

A. Okay.

Q. You are talking something about some health details there, and then he sent you some details: the investment case for Bitcoin. Bitcoin was an investment, and he's forwarded it on back to you. Do you remember that?

F

A. I'm really sorry. I was looking at the head thing with the emoji. "If you need context, let me know." Well, I think ----

Q. I think he is sending you over information about Bitcoin?

A. I don't remember, but that would be reasonable.

G

Q. Okay, and then a little further on, 1467, this is you sending him details, as I understand, about the New Scientist PDF. And then he is talking to you about putting some Bitcoin into Bitwyre. Do you see that?

A. Yes, that is correct.

H

Q. At 10:37 -- I am sorry to have you going back and forwards ----

A. No, no, that's okay.

Q. -- in the bundle?

A. This one as well.

MR JUSTICE MacDONALD: Sorry, Ms Campbell, which page?

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MS CAMPBELL: I am so sorry, my Lord. 1037.

MR JUSTICE MacDONALD: Thank you.

MS CAMPBELL: Yes. (To the witness) And this is, again, Mr Zahmoul, in 2021, sharing some information with you about the Mint Green investment?

A. Yes. This is correct but this is now inside the divorce procedure.

Q. Thank you. And the reason I have taken you to all of these documents is I want to make this point and ask you if you agree: throughout the latter part of your marriage and even into the divorce proceedings, as you have identified, Mr Zahmoul shared with you a significant amount of financial information. Do you agree?

A. Significant relative to what?

Q. He was very open about his finances with you. Do you accept that statement?

A. The part discloses the whole.

Q. Well, let me ask you in a more generalised sense. Do you agree, as Mr Zahmoul has told me, he says he shared all of his finances with you. It was basically an open book?

A. No, my Lord. I do not. No, I do not.

Q. How did you access all of the documents and the data that we have been referring to as the *Imerman* disclosure, or the Pinocchio files, you call it. How did you get that information?

A. Your Lordship this is... Would you like the written full story?

Q. I just want to know how you got to it?

A. Yes. So, some of it is documents that were prior in a drive, so they were already in a shared drive, and at posteriorly(?) I accessed, but this is the minority. Others ----

Q. So that would go --- there are two stages, you are saying. Some on an open shared drive?

A. Okay, so context: In 2020, we had been married for 27 years. The person who does all the admin, this is very well laid out in the March 22 letter from Withers.

Q. I just want to know the answer. Just tell me. You said on 2020 you had a shared drive?

A. 27 years of marriage with me being called administrator, right?

Q. So you had access to everything?

A. Absolutely. And I make the payments for everything.

Q. Right.

A. And I had access to a bank -- one bank account for the house.

Q. All right. What happened after 2020?

A

A. In 2020, in November was the respondent's last visit and he -- I found out later that he gave a computer to my older daughter. And I found out in day of last (inaudible) that she had a computer and she was watching Netflix. That's how I found out, because she became extremely tired. I am really sorry if that is not reflecting ----

B

Q. I am just trying to understand ----

A. And ----

Q. -- the timeline, Mrs Zahmoul.

A. I'm sorry.

C

Q. So I can be clear, I am not going to stop you; you can carry on, but I just want to understand. You are saying up until the end of 2020, you had full access, and then something changed -- and in November 2020, you did not?

A. Ms Campbell, I had access to what I had access, which the whole is not controlled by me. What I had access to is what was -- what the owner decided to give access to.

D

Q. All right. And when did that change? When did you get access to the information that the owner had not given you access to before?

A. Well, so which information? Most of the crypto is -- what I call Pinocchio, is printed documents that were sent to the solicitors when he gave me ----

E

Q. Mrs Zahmoul, you are farther ahead in time. I asked you a really simple question. When and how did you get access to the information that we have been referring to as *Imerman* documents? When?

F

A. So what we were discussing yesterday is... Thinking over four years and trying to understand this is why it is been so slow and as of yesterday I am still piecing together this.

MR JUSTICE MacDONALD: Just let us stop a moment and concentrate on the question Ms Campbell asked you.

G

A. Okay.

Q. When did you get access to the *Imerman* data?

A. Up until end of March and the FDU(sic) was April 7th. And then Withers asked me to send everything including the hard copies.

H

Q. So the end of March.

MS CAMPBELL: That is when you delivered it up, but when did you get it, is the question I am trying to find the answer to. When did you obtain this information?

A. November -- by December. December 2020.

A

Q. So that is when you got it, December 2020?

A. That's when I realized that Jade had - that's when I realized my daughter was with a PC and ----

Q. You are still not answering my question. Let us see if we can help each other?

B

A. No, I keep ----

Q. Just go to the page 1397 ----

MR JUSTICE MacDONALD: Let us just go to the bundle.

MS CAMPBELL: Go to page 1397, please. This is a letter from your friend Evelyn

C

Gargano(?) or was your friend, Evelyn Gargano. And she says in paragraph 3 of this letter -- well let us start with paragraph 2:

“In September 2020 Nadia asked me, Evelyn Gargano, to be made executor to her will, which I happily accepted. Around the same time, Nadia and you...”

D

-- because this is a letter to Mr Zahmoul --

“... stayed with us following Nadia's spinal surgery in September 17, 2020.”

E

So we have got a specific date, after you had surgery, September 2020?

A. Yes.

Q. So she says that it was during that stay, that you stayed until 5 October, and that you told her and her husband about having hacked into his laptop and having accessed his phone.

Is that true?

F

A. That is absolutely false.

Q. False. Okay.

A. May I just because this area is a bit ----

G

Q. I am just trying to get the times at the moment, the dates?

A. I absolutely did not ----

Q. I have put a specific date ----

A. -- tell Miss ----

H

Q. No, I am not asking... I am trying to find the date. So I have evidence and I have shown you that it was in September. I am asking you this question: Did you access the information in September 2020?

A. No.

Q. When did you access the information?

A

A. He left in November and I realized when Jade was -- that she was not sleeping, so it has to be between November and December.

Q. Okay. November/December 2020. That is all I needed to know. Thank you.

A. I'm really sorry, this -- can I just say something about this?

B

MR JUSTICE MacDONALD: Just wait for the next question, all right? Just wait for the next question, okay?

MS CAMPBELL: The information that you had -- we know that there was extensive information that was copied to your solicitors. And when did you give it to them? When did you give the information to your solicitors?

C

A. On the same day everything left when they picked it up at FDA on the 7th. The pickup was 16 April. Two devices, 200-page hard copies of -- that were returned, that you texted back to me, so that is Pinocchio. 200, those 200 pages, two devices, one had ----

D

Q. April?

A. April 15, 2021.

Q. 2021?

A. Yes.

E

Q. Thank you very much.

A. There is one more set of documents. It is the telephone, his phone. So during the pandemic, he hacked into Ms Molina's account and I found his phone and also I think we need the *Imerman* letter from Diana -- from Mrs -- Diana Parker. There are several sources. One is six months of the pandemic with the respondent at home with us and all the screens open all the time. That, if anything, was open, and I have, and 3,600 pictures were not returned as per the *Imerman* letter.

F

Q. So I understand what you are saying, during 2020, you have got 6,000 and however many photos?

G

A. No. During the pandemic, the respondent had devices all over the house.

Q. Yes.

A. I think I say it in my statement. Had open -- open devices left open, here and there, was talking openly to Ms Molina on speakerphone.

H

Q. Okay, and were you looking at his devices in 2020?

A. They were open, so whether I was looking or not is ----

Q. The question I want to know: did you look at them in 2020?

A. During the pandemic?

- A** Q. Yes?
A. After I found out about Ms Molina ----
Q. Yes?
A. -- did I look at it?
- B** Q. Did you look at the devices?
A. Any device if it was open and unattended?
Q. Yes?
A. Probably.
- C** Q. Well, you either did or you did not, Mrs Zahmoul. No need to be coy about it. I think we all know the answer. You did. You looked at it.
A. I just think the question is -- okay, if -- when the -- actually, he laughed -- he laughed about it.
- D** Q. I asked you a really simple question?
A. Yes.
Q. Did you look ----
A. When we --
Q. -- at them?
- E** A. -- and I saw something. I did and I can recount it and I remember it.
Q. Right, so did you just see ----
A. If I see I can remember it.
- F** Q. Did you just see what was open and remember it or did you access the devices?
A. No, I saw ----
Q. Because you mentioned thousands of pages.
A. I saw what was open and then -- and I remember everything.
- G** Q. You mentioned literally a few moments ago there were thousands of pages from the phone. You saw thousands of pages?
A. Yeah, they were all the pictures that you would not want ----
Q. So, you did not scroll through and have a look. You just glanced on the screen. Is that what you are saying to the judge?
- H** A. Except on -- except in Morocco on February 17, 2020, which is the day I found out 2020, when we were in Marrakesh and he left his open computer in the room and left with my father. That is the day I walked in a room and there was an open WhatsApp conversation with Ms Molina. That's when I found out that she -- of her existence.

A

Q. Okay. So between February 2020 and we know lockdown was March 2020 ----

A. Yes.

Q. -- and you have explained this date in November 2020, I think, you were saying when you noticed your daughter on her ----

B

A. That is November.

Q. Yes.

A. 2020 to December when, after the third day of ----

C

Q. So we know, between February 2020 and November or December 2020, you had access to Mr Zahmoul's devices?

A. Which we -- no, no. In February 2020, your Lordship, the respondent, came to join me in Marrakesh and I found out Ms Molina existed. I had already seen Withers a month prior. And then he came for the (indiscernible) to Gloucestershire, and decided to stay for the lockdown. He came with all his devices full, took over the house. He was established himself in the house for six months. From there, we went to Beverly Hills and spent three weeks together. Then the children and I flew to Wyoming, and the respondent drove -- drove to Wyoming.

D

Q. Mrs Zahmoul, you are leading ----

E

A. I'm leading into a timeline.

Q. -- to a completely different area. I simply asked you this: Between February 2020 and the end of 2020, maybe November or December ----

F

A. Yes, it's (indiscernible) because there is a timeline.

Q. You just told us you had access to his devices?

A. So, when he came back -- March 26 we started lockdown and he had all the devices open.

G

Q. When did he leave your home?

A. Went away in August, then I went for surgery, and then he left, and he came to New York, and then for October half-term, October half-term was the last presence of the respondent.

H

Q. All right, okay. So we have worked out then your timeline, from February through to the end of the summer, August, you had access to the devices?

A. So, during that period you just cited, it was whatever I saw on the screens and committed to memory. And afterwards, I found the laptop from Jade.

A

Q. Mrs Zahmoul, I am going to put this to you: that during that period, you carried out extensive research on Mr Zahmoul's devices. You did not just look at the screens, you looked through the devices to find evidence?

A. That is not -- that is not true. That is not right.

B

Q. All right, well we disagree.

A. And the laptop computer, I found with Jade, that is November/December, when she was not sleeping and she brought me the computer.

C

Q. So, are you asking the judge to accept that after the end of the year, after 2020 came to a conclusion, and before you gave the devices to your solicitors in April -- let me ask you this -- did you access the devices and look through them then?

A. Do you mean the laptop of Jade?

Q. The devices that you ----

D

A. Yes.

Q. -- you had.

A. We saw -- the computer that the respondent had given Jade had -- was open. And that is where the 200 pages came from.

E

Q. Did you look through it?

A. Through the 200 pages? Yes. And they were returned to me so I can discuss them. I did not know how to remember them. Some of them made no sense and they only made sense last week?

F

Q. All right. I understand that when your solicitors returned the papers in April, there were 1,700 documents?

A. Most of them you just said they were outside the *Imerman* environment. They were records of UBS and Barclays statement that had zero use, and they were -- the instruction was to ----

G

Q. You said they were useless. What do you mean "useless"?

A. They were not part of the *Imerman* exercise. They were simply bank records and historical statements with instructions to forward them to the respondent.

H

Q. That does not make them useless. What does the word "useless" mean?

A. Oh sorry. "Useless" means they were fine by me as an administrator of the house. They had no useful value for the proceedings because they were historical and they were of the house that I was aware of and -- and -- and most of them arrived electronically, but those that arrived in paper, I keep them so he can check them when he's ----

- A Q. And you downloaded them and put them on to paper?
- A. No.
- Q. No?
- A. Just the regular post to the house.
- B Q. All right.
- A. So, as administrator, I opened the post. I had the hole punch and I stake them. He never looks at them.
- Q. So I am clear about numbers, we have the 1700 hard documents that were sent to the solicitors?
- C A. Of those 200 are *Imerman*, Pinocchio. *Imerman*, then became (inaudible).
- Q. And then there were separate from those 1700, there were all the documents that you say were the Pinocchio files that were sent back to them?
- A. No, no, no.
- D Q. No?
- A. There were four binders. One was Pinocchio. The other three were with the instructions, we sent to the respondent. Those three are useless to go through them. One is Pinocchio -- one. That is 200 pages. The reason the *Imerman* exercise took so long is because even though the instructions were, please forward these, so the three, UBS, Barclays -- and I forgot the third one -- to the respondent, and even though we were -- I was -- I was -- were communicating at that time, he instructed HFC to nonetheless carry out the entire exercise so that it would stretch, because, please your Lordship, this was around the time of the Coinbase direct listing on the -- one week after the FDA, and that is the reason why with the *Imerman* being stretched in time and in value, in cost, we arrived at two -- one business day before the FDR, the updating disclosures, which they asked, by the way, to not -- to skip the updating disclosures if they could and we said "No." So, the three were -- and I insisted and we have -- this is documented, I insisted, I said it shouldn't be so expensive; it is just one folder. And he said, "No, we are doing all four of them."
- E
- F
- G
- H Q. Let us have a look, shall we, in the bundle at the letter from HFC at 2230, 22-30.
- A. On 7 April?
- Q. No, this is from Mr Zahmoul's solicitors to yours, after they delivered up the documents, and it is a letter dated 24 June 2021?
- A. So it is a review of the *Imerman* documents.

A

Q. Yes. What we can see here is that there were categories of documents?

A. Yes.

Q. You had categorised them, had you not? You put them into files?

A. Yes, yes.

B

Q. Yes?

A. In the peak of this. So you can see ----

Q. I am just going to summarise so that we can agree what we are looking at. There was a yellow lever arch file with the Barclays material in it?

C

A. That was not *Imerman*. So, this is inflation of legal costs for the purpose of stretching something over time.

Q. Then let us look -- there was a red lever arch file with all the UBS documents in it?

A. This was not *Imerman*, so useless.

D

Q. There was a grey lever arch file with all the tax documents in it?

A. Useless. Useless.

Q. There was a red folder about the children?

A. As you can see, the only one held in escrow, as it says by his own lawyers, is the black lever arch. That is the only one.

E

Q. Yes. You are concerned whether or not they breached the privacy of Mr Zahmoul. I am trying to find out what you looked at?

A. I looked at ----

F

Q. So, we are just having a look and then we see in that folder there were transfers between various people, a great deal of information about Ms Molina, do you agree?

A. Everything in the black large document(sic) I had looked at and then 90% did not make sense because I did not know what a node was. I can explain to you now because now I know that three years later. And I had looked at and he sent me on May 6, 2021, by messenger, by text message. So, it had lost confidentiality status and ----

G

Q. We are going in different directions, Mrs Zahmoul. You are talking about one thing and I am asking you questions about something else?

A. Why are they different?

H

Q. Have a look at 2235 for me please?

A. I looked at them and it is not confidential. That is the point I am trying to make. I look at them and ----

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A

Q. I know the point you are trying to make. You are trying to say whether or not you breached his confidence. I am simply trying to find out what you looked at?

A. Everything ----

Q. Okay?

B

A. -- I have now in my possession.

Q. So, we know that you had access to his devices between February 2020 and the end of ----

C

A. Sorry, no. February '20 to November, the respondent had his own devices and was with the children and I during -- for the lockdown all the way until the end of August in the US until I brought them back to Gloucestershire. And he had his devices ----

Q. You told us you saw thousands ----

D

A. -- and he spoke openly to Ms Molina throughout the lockdown on speakerphone and this was not a great time. So -- which I saw, and also did the children and -- and -- it is not even something that we would want in the courtroom with a lot of pictures and text messages.

Q. All right. Let's have a look at page 2235?

E

A. And some -- some of them are in the papers.

Q. 2235 please, Mrs Zahmoul.

A. Yes. Now, Pinocchio is very different. Now ----

Q. Mrs Zahmoul, could you look at page 2235?

F

A. Okay.

Q. Have you got that?

A. Yes, yes.

Q. Paragraph 51?

G

A. Yes.

Q. This is information that was copied or seen by you. A printout relating to Coinbase, Multibit Classic and Gemini, which is closed?

A. This is a review of what -- yes.

H

Q. Yes?

A. Yes.

Q. And it is expressed there that Mr Zahmoul's Coinbase account is disclosed in his Form E and says here: "Our client no longer holds Multibit or Gemini accounts and has not for many years?"

A

A. Which was false. Which was proven two years later to be false. First one when we did the subpoena. This is great, because this is a sworn affidavit saying this is what I have.

Q. The letter?

A. Right. This is my review and feedback on *Imerman*.

B

Q. Yes?

A. And then 51 is a false statement. "Our client no longer holds this." And ----

Q. Mrs Zahmoul ----

A. -- it took a subpoena and 1.6 million pounds to find out that the client actually holds a Gemini.

C

Q. The Gemini comes ----

A. And then retroactively -- retroactively gave it to his sister for her wedding in 2018.

Q. I understand your ----

A. -- in 2022 you've even ----

D

MR JUSTICE MacDONALD: Mrs Zahmoul, listen for the question.

A. Yes.

MS CAMPBELL: I want you now, if you would please, to have a look at page 1389.

A. Yes.

E

Q. We are back in 2018. This is an email. Mr Zahmoul sent you a list of updated assets. Can you see that?

A. Yes.

Q. You can see it refers to real estates ----

F

A. Yes.

Q. -- bank accounts and so on and then investments? Can you see that category of investments? Can you see it?

G

A. Temporaries -- and then yes absolutely I am with you, yes Coinbase,

Q. Can you see the reference there "Coinbase £75,000."?

A. And we are in 2018, right?

Q. Yes.

H

A. Okay so two -- two things there, your Lordship. The investment says Coinbase. It does not say Topanga, and there is no connection in this email between Coinbase and Topanga. So, I can ----

Q. Mrs Zahmoul, you knew ----

A. At that stage the investment was in Topanga, the only officially -- the only person

who ----

A

Q. Mrs Zahmoul, you are not answering ----

A. -- knew about Topanga was an LLC vehicle, that vehicle that invested in 2015 into Coinbase is Mr Zahmoul and ----

B

Q. I have not yet asked you a question.

A. But I am just telling you.

Q. I know. You are here to answer questions, I am afraid?

A. I am really sorry.

C

Q. Just wait for my question.

A. Yes, I can see Coinbase, 75.

Q. So in 2018, you knew that Mr Zahmoul had a £75,000 investment in Coinbase?

D

A. No. Coinbase is also a wallet and a bank account, so the respondent in addition to the investment which I did not know about and which was in Topanga Canyon Holdings LLC and which he made from the Citibank account that we had on 17 February 2015 into Macross, the holding capital that owns Topanga Canyon Holdings LLC, instead, he put 75 of joint money in February 2015. What -- I did not know that -- but what I did know is that he had wallet at Coinbase exchange, private, private, and in that wallet he invested in crypto. So when the respondent refers to "Coinbase", it can either be the wallet, when he speaks to my brother, it is the wallet where he is buying crypto, and that Coinbase only became Coinbase versus Topanga on April 14, 2021 ----

E

Q. Mrs Zahmoul ----

F

A. -- much later, on 16 July, 2021, one day before the FDR.

Q. -- look back at the documents.

A. Yes, I am.

G

Q. There is a heading that says "Real estates", and then real estate is listed. There is a heading that says "bank accounts" ----

A. Yes.

H

Q. -- and then bank accounts are listed. And there is a heading that says "Investments", and then Coinbase is listed. I put it to you again that you knew that your husband had invested £75,000 in Coinbase, a business investment?

A. I'm sorry. The answer is no, and I am asking you, is this -- is this what you are using as evidence of? This is it? You do not have any ----

Q. Look at 1392, please, Mrs Zahmoul?

A

A. Ms Campbell, if I knew this was Coinbase -- do you think on 7 April 2021, I would have ----

MR JUSTICE MacDONALD: Mrs Zahmoul, look at the page you have been referred to ----

A. Yes, yes.

B

Q. -- and listen to the question. All right.

MS CAMPBELL: This is 1392 and you will see this is a WhatsApp exchange?

A. Yes.

Q. I think it is 10 March, or 3 October?

C

A. Yes, it is ----

Q. 3 October.

A. Yes.

Q. And you can see Mr Zahmoul is sending you a link to show you that there has been a new investment by Tiger Global into Coinbase?

D

A. Yes.

Q. And increased the value to ----

A. 8 billion.

Q. 8 billion. And you reply with an emoji wink.

E

A. Yes.

Q. Is that just generally great good luck to all those investors in Coinbase?

A. No, because ----

Q. Or good luck to the world?

F

A. So this is Tiger Global and we are where?

Q. 2018.

A. 2018. So, Coinbase, the private company, had 17 funding funds -- funding grounds.

G

Therefore, when the respondent said one month before in his form E that he did not know the value of that investment and kept it at 75, you can see that this is in complete opposition because he actually sent me this, which means that this is -- when a venture capital firm like Tiger Global invests in an investment, it sets a value. Therefore, just by sending me this, he's telling you that he knows the company is worth 8 billion.

H

Therefore, when he tells you on phone, his investment stays at 75, but he knows the company is 8 billion ----

Q. Can you wait for ----

A. -- you can see, okay.

A

Q. I am trying to understand what you knew.

A. I said in an email because I didn't care.

Q. Mrs Zahmoul, can I ask you the question?

A. But I would not send an email ----

B

MR JUSTICE MacDONALD: Just pause please?

A. I would -- I'm ----

Q. Mrs Zahmoul?

A. I am sorry.

C

Q. I am trying to understand your case. All right. I am trying to listen to the answers you are giving because that is my job and it is fair to you. If you do not listen to the question and try and answer the question and instead go off piste, I am not going to be able to understand what you are saying.

D

A. Yes.

Q. And I really need to understand.

A. Okay.

Q. So I want you to calm down.

E

A. Okay.

Q. I want you to listen to the question and give an answer. All right? Okay.

MS CAMPBELL: So, the question I want you to answer, Mrs Zahmoul, is why were you sending what I would say is a good luck wink or a congratulations wink or a positive personal expression from you to him about the announcement that Coinbase was now worth 8 billion?

F

A. Because it was -- I had -- it -- because I have nothing else. I have no other words. I suddenly was ----

G

Q. This was Mr Zahmoul ----

A. Because it's good news.

Q. Good news?

A. For the market.

H

Q. Good news for the market?

A. Yes. I will ----

Q. I put it to you, Mrs Zahmoul that you gave the wink because it was good news to your family because you have a £75,000 -- dollar investment in Coinbase. If it was going up to maybe 8 billion, that was good news for you?

A

A. Ms Campbell, then the FCA ----

Q. Is that true or not?

A. Because with my background I would have attracted a lot better and I would have found out a lot sooner.

B

Q. Let us have a look at page 1394 please. This is the time in 2019 when you were trying to arrange a mortgage and we can see this is an email exchange to the bank, Barclays?

A. Your Lordship -- Ms Campbell ----

MR JUSTICE MacDONALD: Can you just look at the document?

C

A. Yes.

Q. All right. And just follow through the document which Ms Campbell is putting it to you.

A. Yes.

Q. All right.

A. Yes.

D

MS CAMPBELL: And just so it is in context, if you look at the document on 1395, you can see where this is coming from. This is the bank writing, asking for additional information?

A. This is the same bank.

E

Q. Yes. And then we can see at 1394 Mr Zahmoul is correcting the information that has been relayed, and he talks at point one there about the Metropolitan Commercial Bank statements, so on, credit cards, school fees. And then he says:

F

“The big missing piece is the IRSV and the IPP2, which is more than 1.8 million in assets.”

And then it says:

“Additionally there is 200 shares in Ventus D.”

G

And then on the next line he says,

“I also have private investments that do not seem to be included investment in Coinbase.”

H

A. Yes.

Q. This is a reflection of the fact that you and he were both aware that he had an investment in Coinbase. That is right?

A. Ms Campbell, are you asking me a question?

A

Q. Yes, I am asking you whether you knew at that stage that he had an investment in Coinbase.

A. Your Lordship, the missing word is Topanga.

Q. I am asking you about Coinbase.

B

A. So, it's no. The answer is no. Your Lordship, my training is in the valuing -- is in the valuation of -- equity valuation of companies. In fact, if I had known that Coinbase was -- whether we had Coinbase, I would have known immediately from the disclosures of Form E. It wouldn't have taken me two -- two years and 1.6 million to get there, because that is what my job. That is what I did for a living. I am very ----

C

MR JUSTICE MacDONALD: All right.

MS CAMPBELL: Can you have a look at the line below that please?

A. Yes, yes.

D

Q. At 1394.

“As mentioned yesterday, I also have some crypto investments, about 45 Bitcoins which is worth about \$450,000.”

So Mr Zahmoul, in this document is actually distinguishing the Coinbase investments in the Bitcoin?

E

A. I know. I realise this. The only missing thing is that I realised it in posteriorly(?) that there is no connection between Coinbase and Topanga, because if there had been, one more time, I would have learned that form, it is off by 7 million, at 7 million when it is 11 ----

F

Q. Again ----

A. -- I would have known ----

Q. -- you are asking those questions or answering questions that I have not asked you. I am asking whether you knew about Coinbase?

G

A. I did not.

Q. So despite seeing that document, just to be clear, if you look at page 2098, it is clear that you were copied in on the exchange?

H

A. Yes, I was copied.

Q. But it is not apparently from that document?

A. But this if copy of something Coinbase, that in fact was Topanga is the proof that I knew, I am sorry, I did not.

A

Q. I am putting it to you ----

A. I did not know that he had made an investment in 2015 in something called Topanga, that we also call Coinbase.

B

Q. Mrs Zahmoul, I am putting it to you that you knew that your husband had invested \$75,000 in Coinbase as an investment in the company, different from the Coinbase -- coins, bitcoins. that we may have had in currency?

A. Your Lordship, I did not.

MR JUSTICE MacDONALD: Do you agree with that or not?

C

A. No, I do not agree.

Q. Okay. That is fine. I understand.

MS CAMPBELL: And have a look please at page 1400?

MR JUSTICE MacDONALD: Sorry, say that again, Ms Campbell.

MS CAMPBELL: I am sorry. 1400, 1-4-0-0.

D

MR JUSTICE MacDONALD: Okay. Thank you.

MS CAMPBELL: Mr Zahmoul instructs me that not only did you know, but your friends and family knew about it too; that it was widely discussed in your social group about the fortunes of Coinbase and that you and he had an investment in it. Do you accept that?

E

A. The answer is no.

Q. Okay.

A. Your Lordship ----

F

Q. And this document here from Sylvie Uziel(?), a WhatsApp message. again, I am instructed that this was part of an exchange between Mr Zahmoul and your friend about his ownership of Coinbase shares. Do you accept that?

A. This is not true.

G

Q. Your Lordship, I did not know I could have witnesses, but both these people, my brother and Ms Uziel were ready to testify. They still can and provide affidavits. As you can see, Ms Uziel is CEO of a large company, and she is also *Chevalier d'Ordre d'honneur* in French. She is honoured by the French government as a very important woman. She has ----

H

Q. You have given me your answer so ----

A. -- my brother said no, and Ms Uziel said no, and in French, "*j'achète du BTC*" is an "*achète du compagnie*". "*Du*" means pieces, right. "*J'achète du*" -- it's things that are

- A granular. If you were buying a company, you would say, "*J'achète Coinbase*" direct -- it's direct.
- Q. To the Bitcoin, I agree with you.
- A. This is referring to pieces.
- B Q. And that is why she questions: "Bitcoin?" He says "Bitcoin" and then she says, "I'm waiting for the ICO also."
- A. Yes.
- Q. And "Good luck waiting."
- C A. And he said "Coinbase is coming soon." Did he say, "*J'achète Coinbase*?" No. He said, "*J'achète du BTC*" and this is ----
- Q. All right.
- A. And if you had the rest of the conversation, she said, "Are you buying the company?" And he said, "No, I am a family man. I make prudent investments and buying those ----
- D Q. And where is that WhatsApp then?
- A. It's the rest of it.
- Q. Well, where is it? If you have you seen this WhatsApp, where is it?
- A. Well, no I translate it.
- E Q. Yes, so where is it?
- A. Well, I did not know that... If you want it. If I can have it, I can Sylvie here if you want.
- Q. Let us have a look at page ----
- A. She made plans to come until my -- my team ----
- F Q. Do not tell us what your team said. Look at page 1802, please?
- A. Your Lordship, Ms Uziel is willing to come.
- MR JUSTICE MacDONALD: Just look at 1402, all right?
- A. Yes.
- G MS CAMPBELL: Do you see here, this is a conversation between your husband and your brother?
- A. Yes.
- H Q. And this is him asking or making -- forwarding ----
- A. Yes.
- Q. -- information about buying into Coinbase?
- A. Yes.
- Q. This is in 2021, 6 January?

A

A. Yes, okay.

Q. Yes?

A. Yes.

Q. At this stage Mr Zahmoul did not know that you were proceeding with the Form A. Although it had been issued, he had not seen it?

B

A. Oh, Ms Campbell, that is (inaudible)

Q. All right. Well, let us just have a look at the conversation if we can. Your brother is asking or sending information about buying into the IPO, and Mr Zahmoul says -- I think that is meant to say, "Are you buying?" And he gives some more information about the value?

C

A. Yes.

Q. And Mr Zahmoul says effectively that it is expected to go to \$10,000 or pounds -- 10,000?

D

A. Yes.

Q. Then if we look over the page on 17 January, the conversation continues. Your brother is sending information about Coinbase?

A. Yes.

E

Q. And Mr Zahmoul saying, "*Bonjour, bon tous*, boss. Do you work with Hassan?" and your brother says "Who is he?" Then they go on. Then over the page you can see the conversation continues?

A. Yes.

F

Q. There it is again, from your brother, the details about buying the value of Coinbase. Then look over on 1405, we have another emoji from your brother?

A. Yes.

G

Q. Mr Zahmoul says: "Wow, that is a big number" -- talking about the value of Coinbase, "Wonder where they'll close." And your brother sends an emoji with a sort of excited, happy face?

A. Okay.

H

Q. "Could you believe it" sort of thing?

A. Yes.

Q. Again, Mr Zahmoul tells me that this is evidence that your brother knew about the investment in Coinbase, and that is why he was asking Mr Zahmoul about the Coinbase deal, and why he sent that happy emoji face. Do you accept that?

A

A. Your Lordship, the answer is no, and I will give you the evidence for this one. My brother is also available to come in person to testify and so is Ms Uziel.

B

Q. Can you have a look for me at page 2692 please? This is a spreadsheet that was prepared, dealing with a list of investments that your husband had. Can you have a look? Date of acquisition, the currency and the value. And we can see here there is a listing, one up from the bottom, \$2,016, 75,000 is a Coinbase security investment.” This was a document sent to you?

C

A. No, no.

Q. It was sent to you in 2017?

A. This is incorrect. This is a document available to me through a shared Google Drive. It is very different from “sent to me”.

Q. All right. I am told it was sent to you in May 2017?

D

A. I know, and the answer is “no”.

Q. Mr Zahmoul tells me ----

A. In May 2017, that is probably the date the document was created. The date of acquisition of Coinbase is wrong because it’s 2015, not 2016.

E

Q. So you know that. The date of the acquisition of Coinbase was 2015?

A. Of course. The order is 17 February 2015.

Q. Okay.

A. I’m not posturing.

F

Q. So this is inaccurate in ----

A. (Inaudible due to overspeaking) account.

Q. This is inaccurate in terms of when it was acquired?

A. Yes.

G

Q. But Mr Zahmoul says that you and he were concerned that he might die and you would not know where his investments were and what they were?

A. This is not ----

Q. So, he sent you this schedule so that you knew what he had. Do you remember that?

H

A. This is not correct and it’s not true. This schedule here ----

Q. Yes.

A. -- the spreadsheet?

Q. Yes.

A

A. Absolutely. This schedule -- the only thing it acts of value is the last line -- is the fact that he did a total return swap, I believe, with Ambience and then said he did not.

Q. You are talking about a different topic. I am asking you when you saw this document. Is it your case that you did not see this document until these divorce proceedings?

B

A. Absolutely, yes.

Q. Mrs Zahmoul, I am putting it to you that you are not telling the truth about that. This was sent to you in 2017 when you and Mr Zahmoul had a discussion about his possible death. You would not know where his assets ----

C

A. No, that was an email.

Q. -- where his assets were?

A. It is an email that he sent in 2016, not 2017.

Q. Okay?

D

A. And it lists in the email the assets. Not this. This is a spreadsheet accessible to Google Drive, which I only -- which I only found out when I was searching for Ambience because Ambience did a SPAC, then the respondent said ----

Q. And when was that?

E

A. The SPAC?

Q. When was the SPAC?

A. In November in 2021, and then the respondent said -- in '21 or '22? I think '21. And at that stage, the respondent said, oh, he had not invested. So after sending me all the documents to help to give -- to get my analysis on the business plan and so on, then what -- Mike Deeg invested in it -- after all those back and forths and my analysis and "what do you think of the business plan?" and all of that, then during the proceedings he said, oh no, he didn't do it because he's not a US resident. So this says he did it and he did it through Mike Deeg, who is a US citizen, and it is a total retax of -- TRS -- a total return swap, where Mike takes the money off to him and then gives him the upside when he goes up. So the company ----

G

Q. My point is ----

H

A. -- the SPAC, the company did a SPAC and merged with another company called... A SPAC is an off-shelf IPO, it is a way to go public and ----

Q. Mr Zahmoul, Mike Deeg, what is his job?

A. This is very good. Mike Deeg is a surrogate(?) who responded to all his taxes ----

Q. What is his job on his Curriculum vitae. What is his job?

- A** A. His expertise is taxes. He's also a trader.
Q. And he is FCA regulated, is he not?
A. Absolutely.
Q. Do you think Mike Deeg would hold ----
- B** A. I'm sorry.
Q. Do you think ----
A. Of course. Yes, absolutely, yes of course. The answer is yes.
Q. You are answering me but you have not heard my question.
A. I know the question.
- C** Q. You know my question.
A. If Mike with FCA regulation would do something like -- yes, yes.
Q. You would. You think Mike Deeg would hold assets, money, investments that belong to Mr Zahmoul ----
- D** A. Yes.
Q. -- to hide them ----
A. Mmh. No, no ----
Q. -- from you?
- E** A. No, I'm really sorry. The answer is serious, but in this case, if you know the documentation from the case, this -- this belong -- this investment was made through a vehicle -- through a vehicle. The COO emailed the respondent, we now know that, and told him, "You need a W9, you need to be a US resident in order to invest here." And --
- F** and -- and then the respondent said, "Can I put my wife?" And then: "I could put my wife and I send you her passport." Then he decided against, and so (inaudible) with my Mike Deeg. So, the answer is yes. And can he do it? Yes. Would he do it? Yes? Did he do it? It looks like he did.
- G** Q. Okay, you are ----
A. And I do not know about that.
Q. Let me summarise if I may?
A. Yes.
- H** Q. What you are saying is he did it for proper business reasons?
A. Absolutely.
Q. All right?

A

A. Because I think investment can only be made by someone who has a W9. It has to do with taxes.

Q. I think we are agreeing that Mr Deeg would not cheat or try and hide things. He was simply involved in a business transaction?

B

A. That's a different question. In this case, it is simply to help. In the rest of our proceedings, the answer is no. Mr Deeg would commit ----

Q. I understand your case?

A. Okay.

C

Q. I will put it to you just to be clear that Mr Zahmoul says that it is absolute nonsense; that Mr Deeg would never engage in any activity that would hide or shield assets?

A. He would.

Q. You are saying he would and ----

A. Absolutely.

D

Q. -- I am putting ----

A. Without a doubt.

Q. -- Mr Zahmoul's case. All right. Have a look at 2369 please, 23-69. After the Coinbase IPO ----

E

MR JUSTICE MacDONALD: Hold on, Ms Campbell. Let us just get to the document.

MS CAMPBELL: I am so sorry. (To the witness) After the IPO in Coinbase, we know that the value rocketed up to \$7 million. And Mr Zahmoul wants to take advantage of that, and he wrote to you and suggested because of the massive rise in the value, the exponential rise, he says: "Do you realise that between these two, the appreciation..." -- that is the Coinbase and the Bitcoins --

F

G

"... we have experienced in the last month and a half puts the value of these over US\$10 million. this means you could get 4 million in cash and have some in escrow for the taxes that would come to you later, plus the split of everything else."

Mr Zahmoul wanted to sell those shares in Coinbase at this time. Do you recognise that? On 4 November, that is what Mr Zahmoul wanted to do, was liquidate the Coinbase shares and each of you take cash. Do you understand that?

H

A. Your lordship, the first thing I'd like to say is that I don't read any emails sent by the correspondent at all, and I blocked my WhatsApp a long time ago. Therefore, yes, I know -- I know, I have some, and this is known. Withers wrote four times, and Ms

A

Bloom wrote twice. I do not read anything that comes, and he knows it, obviously. So that is the first thing. Number two: did he send this? I understand, and I note the price of Coinbase.

Q. My question?

A. Yes.

B

Q. Did you know he wanted to sell Coinbase in November so you could each take cash? He says there: you would have 4 million plus money for the taxes. That is what he wanted to do?

C

A. No, your Lordship, this is not: "I would like to sell". This is just... Where does it say, "I would like to sell."?

Q. It says that you would have 4 million as cash. That suggests ----

A. So, he is suggesting if we settle now. So, I don't do settlement like that. I'm sorry.

Q. You do what settlements?

D

A. No. I'm sorry. After the non-disclosure of 7 million, I cannot do a settlement based on an email and on the side.

Q. All right. Thank you?

A. Yes.

E

Q. Could you look at 1375 in the bundle, please?

A. So, for the record, Mr Zahmoul when the price is high, not when the price is low. I just wanted to say that, because that would be ----

MR JUSTICE MacDONALD: Just look at the page that you have been referred to?

F

A. Yes.

MS CAMPBELL: 1375. This is March 2022?

A. Mmh.

Q. You are writing to ----

G

A. Yes.

Q. I am sorry?

A. Yes.

H

Q. Yes. Do you see you are writing to somebody called Rachel. Rachel has -- Kindred Ventures (?). As I understand it, she had control of the Coinbase shares. Is that right?

A. The short answer is "yes".

Q. Thank you. And you are writing to her ----

A. Yes.

A

Q. -- proposing that half of them be transferred over to you?.

A. Yes.

Q. And you did not copy Mr Zahmoul in on this correspondence, did you?

A. No.

B

Q. No. You wrote directly to her and asked her to send half of them to you?

A. No, that is not what I did.

Q. Okay. So, what is this then?

A. Okay.

C

Q. Explain what this is?

A. Okay. So you see the date. March 23, 2022, your Lordship. The direct listing had occurred on April 14, 2021 . Because the 7 million... Okay, the respondent invested in an LLC vehicle, so what he had was a partnership interest in an LLC that he paid for \$75,000. That partnership interest on April 14 did something called "an in-kind distribution" and he was given 21,857 shares of Coinbase. On April 14, he received a piece of paper that says, "in-kind distribution, you have \$7 million." That went -- the securities went through Forte Securities. From a tax perspective, and the respondent is in Portugal -- so the capital gain between what he invested, \$75 [million] and \$7.5 million, he pays nothing on that because he's in Portugal. However, the Portuguese tax authorities will hold up to 28 per cent up to four years because they might or might not -- that is the statute of limitations -- they might or might not claw back on it. Now, I am a US citizen and I was trying to avoid that because I do not want to commit 28 per cent of 77 million ----

E

F

Q. Can you tell us why ----

A. I'm sorry.

G

Q. -- what I said is wrong?

A. This is very important because ----

Q. No, no. I need to understand first of all what... You are telling us why you did this. I want to know what did you do? What were you asking Rachel?

H

A. I'm getting there.

Q. -- to do?

A. I was asking -- so what is possible to do in order to avoid being chained -- chained, chained for four years, 28 per cent of 7 million minus 75 -- 28 per cent divided by two, I have to put in escrow for four years. In order to avoid that, there is another way you can,

A

because at the time of the exchange of the time in-kind distribution, if he had said I was spouse and if I had half of his interest, I would have received half of 7 million as a US citizen, and I will be responsible for my own capital gains. And I was asking her to put me as a partner, as if those seven and a half that came from the 75 were owned by both of us, which it was, because the Citibank money was (inaudible). I was asking her, and it is totally doable because I checked with a company that does ----

B

Q. You are asking for legal title to 50 per cent?

A. I'm sorry. I am asking her -- she -- I'm asking her... I had a ----

C

Q. I still do not know the answer to the question. What were you asking her to do?

A. To retroactively, at that date, put under the distribution two people instead of one, which is ----

Q. You were trying to get 50 per cent ----

A. Yes.

D

Q. -- of the value?

A. Yes, yes in my name -- to have my share not held in ----

Q. Did you ----

A. Sorry.

E

Q. -- explain this to Mr Zahmoul or his solicitors who were acting at the time that you were doing this?

A. Of course, they knew because ----

Q. How did they know?

F

A. In correspondence, they knew that I did not -- that (a) under the statutes of limitation, that his Portuguese taxes should not ----

Q. How did they know that ----

A. From correspondence back in ----

G

Q. They did not know when this was sent. When this was sent, nobody knew you were doing it. His solicitors did not know?

A. Is that the point? Okay. So I researched it ----

Q. Can you answer my point?

H

A. I asked her -- no, they ----

Q. They did not know, did they?

A. -- didn't know, but when he did know, he did not do it.

Q. Thank you?

A

A. And she said, "Yes, we can do it. We have one week to do it because we are unwinding Topanga." She said ----

Q. All right, I think you ----

A. -- you have one week?

B

Q. -- answered my question.

A. -- it is doable, so ----

MR JUSTICE MacDONALD: All right.

C

A. Your Lordship, one more question. It turns -- one more thing. It turns out, now, if I am correct, that Coinbase now, as reported -- if it is Coinbase, the 7 million, I do not know. In the Portuguese taxes, it's not a capital gain; it is a dividend.

Q. Okay, all right.

A. But that is very relevant because he wants to charge me taxes of 350 when he's not paying it.

D

Q. Okay. All right?

A. I can explain.

Q. No need to explain.

E

MS CAMPBELL: Can you look at page 1367?

A. Because there are two ways to report at the 7 million gain. Either as an in-kind exchange or as a dividend. The UK would report -- the UK believes that LLCs are shady in that shady vehicles.

F

Q. Have a look at 1367 please. This is a correspondence that is being sent from your solicitors. If you look at 1368 you can see from Katharine Landells ----

A. Yes.

Q. -- being sent to somebody called Dendi Suhubdy ----

G

A. Yes.

Q. -- who is the owner of Bitwyre as I understand it.

A. Yes.

Q. Is that right?

H

A. Yes.

Q. And you are asking them -- the solicitor is asking on your behalf about concerns about the transaction because Mr Zahmoul sold back some Bitwyre shares. I am just trying to navigate so that we know what we are talking about. Do you recognise this?

A. (Indiscernible)

- A Q. Okay.
- A. Do want me to explain?
- Q. No, I do not. I want you to have a look at the paragraph towards the middle of the page that says, "My client is considering her position in respect of Mr Zahmoul's duty ----
- B A. Correct.
- Q. -- "... to adhere to the FCA rules."
- A. Correct. I see now.
- Q. Why were you writing to Mr Dendi, telling him that?
- C A. So I will explain the transaction. We saw, during the proceedings, that on November 1, 2020, your -- the respondent invested in a company called Bitwyre. Bitwyre Indonesia is a platform to -- to -- to trade professionals' derivative products such as crypto.
- Q. You are not answering my question?
- A. Well I'm giving you ----
- D Q. Mrs Zahmoul, I am asking why your solicitors were telling Mr Dendi that you were going to possibly report Mr Zahmoul to the FCA?
- A. No, I was going to -- I was bringing the matter -- Dendi's name to the FCA and the respondent.
- E Q. But what business was it of this man?
- A. Because Mr Zahmoul bought 1 per cent of the company -- of the company of Mr Dendi at 10,000 Bitcoins -- \$10,000 with one Bitcoin. A year later in the proceedings Mr -- the respondent announces that he's divesting from that investment.
- F Q. Yes, but what business -- Mrs Zahmoul, I am ever so sorry but you really have to answer the questions I am asking you?
- A. Mr Dendi is the CEO of the company who has accepted the other side of the trade. A year later, Mr Zahmoul announces that he -- he has texted Mr Dendi to buy back his share at cost. So, then he sells them back. He says, "The divorce proceedings are a nightmare. Buy me back at cost." So, Mr Dendi buys him back at 10,000, the price of the year.
- G Q. Yes.
- H A. When you do -- when you value the company and you use -- because it's private, you use the funding rounds, the company had six funding rounds in one year. On the day the respondent and Mr Dendi did that transaction at 10,000, it would have been worth 113,000.

IN PRIVATE

A

Q. Mrs Zahmoul ----

A. Because the stock ----

MR JUSTICE MacDONALD: Mrs Zahmoul, just stop, right?

A. So there is ----

B

Q. Just stop.

A. Sorry.

Q. Part of my job is to write down your answers, all right.

A. Okay.

C

Q. You can see at the moment I am not writing, okay ----

A. Okay.

Q. -- because you are not answering the questions that you are being asked. You are not listening to the questions you are being asked, all right. Again, it makes it really difficult for me to understand your case if you do not stick to the question you are being asked. All right?

D

A. Thank you, sir.

Q. I would really plead with you to do that. I am going to take now a short break of five minutes and then we will come back. But I really need you to listen to the question, all right. Five minutes. Thank you.

E

(A short break)

MR JUSTICE MacDONALD: I think what I will do, Mr Campbell is I will rise.

MS CAMPBELL: I am so sorry, my Lord.

F

MR JUSTICE MacDONALD: It can take some time to get to where I suspect he has gone.

MS CAMPBELL: Thank you, my Lord.

(A short break)

G

MR JUSTICE MacDONALD: Mrs Zahmoul, I perhaps should have made clearer at the beginning of your evidence, that I have now had the opportunity to read everything in the bundle, all right. And you know that I have been involved in this case now for a long time, okay? So I know an awful lot about it, all right?

H

A. Yes.

Q. So you do not need to give me the background for everything, because I have read everything that I know, okay.

A. Yes.

MR JUSTICE MacDONALD: Thank you. Yes, Ms Campbell.

A MS CAMPBELL: Thank you. (To the witness) I am going to move on to a new topic, if that is okay with you. I want to ask you about the litigation that took place against the Bank of Jackson Hole last year, and I wonder if you would just have a look in the bundle for me please at 2203 please.

B A. While you do that, may I finish, because I am really sorry, the explanation was convoluted on the Bitwyre and whether I would take that person to the FDA. It is called an undervalued transaction. If you give someone something that is worth 100,000 at 10,000, that is called in the code fraud -- an undervalued transaction. So I simply asked to show the shareholder that the respondent, had 1 per cent of Bitwyre along with 11 other people. So I wanted evidence that indeed he showed that 1 per cent, therefore a new shareholder -- an update showing that he owns zero. That would be evidence that indeed he sold back his ownership. That did not come forth. That it is true it is a private transaction. He's allowed to sell something worth 100,000 and 10,000; that the FCA -- and the respondent is also regulated by the FCA. Mr Dendi, I do not know. This is a matter that the FCA would like to know when they have a regulated representative, an agent of the FCA. An undervalued transaction by that kind of factor is, in my opinion, something notable. This is why I instructed my solicitors to write to the CEO. Thank you.

MR JUSTICE MacDONALD: All right. Now, have you got the page that ----

A. Yes, yes.

F Q. -- Mrs Campbell referred to you, 2203.

A. Yes.

Q. All right. Yes, Mrs Campbell.

G MS CAMPBELL: Thank you, my Lord. (To the witness) Mrs Zahmoul, we know from this judgment that you provided the court with confidential settlement communications. Can you see at the bottom of 2203, there is a reference to it. The court thought it was inappropriate that you had tried to adduce confidential settlement communications. What were those documents, please? Do you know? It comes from the paragraph just above it. It says "The plaintiff..." -- that is you?

H A. Yes.

Q. "The plaintiff's argument also requires the court to consider evidence beyond the four corners of the terms and the conditions."

A That is the contract from the Bank.

“To reiterate, the court finds that the terms and conditions are clear and unambiguous. As such, it would be inappropriate for the court to consider such evidence.”

B And then it refers to settlement communications -- and I only want to know, a very narrow question ----

A. Yes. I understand.

Q. -- what were the settlement communications that you had adduced?

C A. I believe, your Lordship, we had a mediation with the mediator of Bank of Jackson Hole on January 4, 2023 to try to resume the matter at -- at a -- at lower cost. Without giving you the background, we reached an agreement after one day of mediation. My attorney and the bank and the mediator -- I’m sorry, yes -- that should the CEO pick up the phone and call the respondent and ask him if it is okay to reverse the transaction of 675,000, that the respondent did unilaterally on September ----

D MR JUSTICE MacDONALD: Well, just -- coming back to the question ----

A. Yes, and ----

Q. -- what were ----

E A. The mediator ----

Q. What were the confidential settlement communications referred to in that ----

A. It is the mediation result.

F MS CAMPBELL: Thank you very much. I was under the misapprehension that it was documents from these proceedings and it is not. You have clarified that. Thank you very much. Can you have a look at 2183, please? This is your case. This part of the judgment is talking about your case. At paragraph 31, it says this: “Nonetheless, Karim continued to pursue the account opening for 3093 AH LLC...” So that is the joint LLC business -- “... and Mr Zahmoul was trying to get an account opened for that LLC.” Do you remember?

G A. Absolutely.

H Q. And your case was in paragraph 31, he was trying to do that through the UK court, but he was not successful in seeking approval to do so. So, as I understand it, your case in America to the Bank of Jackson Hole was that the court had not approved an order for him to open an account for the LLC. Is that what you are saying?

A. That is not correct. I am sorry, the court -- the order of your Lordship ----

A

Q. Yes, I know it is not factually correct. I am asking you what this reference is to. This is your case?

A. Paragraph 21.

Q. 31?

A. Yes.

B

Q. So, the court is reciting your case. It says -- it is your case:

“Karim continued to pursue the account opening for ... the LLC through the UK court, but he was not successful in seeking approval to do so.”

C

That is what you told ----

A. He was not successful because paragraph 11 of your November court order, 17 November hearing, for which you published on the 6 December 2022, 11(b) is a variation -- the possibility to vary the order. So I purposefully(?) applied for variation, but then I left -- I represented myself on March 1st. On March 1st, I applied myself with a D11 to vary ----

D

Q. Shall we have a look at the order, the actual order that you are referring to? Have a look in the bundle and keep this document open because we will come back to this. But I want you to look at the orders on page 336, please. So this is the order that was from 17 November 2022, before his Lordship?

E

A. Yes.

Q. And you and Mr Zahmoul were trying to have arrangements for the Wyoming bank account. And if we look at -- let us just read what the order says. So if we look at paragraph 11, this is talking about the undertakings. So, these are promises that you and Mr Zahmoul are giving. In paragraph 11 it refers to the rental payments, bank accounts and interim maintenance obligations payments. And if you look towards the bottom of that paragraph on 335, it says:

F

G

“The applicant and the respondent must take all steps necessary to ensure that the rental payments for the following properties are paid into the following accounts.”

H

And then we can see at (a), it talks about the account that is open, LLC account, which is open for 3100 at West Arrowhead. Do you see that?

A. Yes, I do.

- A Q. And then on the next page, at paragraph (b), it refers to the bank account for the property at 3093 and it says,
- “The rental income shall be paid into a bank account number with the Bank of Jackson Hole in the name of that LLC, which account shall be opened on the parties’ joint application to the bank.”
- B So at this stage you and Mr Zahmoul are promising the court ----
- A. Yes.
- Q. -- promising his Lordship that you will open an account in the name of the LLC. Now have a look at that?
- C A. Sorry, I do not agree to that either, because 17 says -- I never agreed to it and my barrister knew.
- Q. I am sorry, 17.
- A. Paragraph 17 is the right to seek that variation and discharge the order. I was told that
- D we have to proceed so that the case moves on, but that I could apply to vary.
- Q. All right.
- A. The reason your Lordship, the account ----
- Q. I understand what you are saying. What you are saying is you gave a promise to the
- E court, but you were not happy with it, and so you were going to vary it?
- A. Yes.
- Q. That was your intention?
- A. I’m not -- your Lordship, I was told that ----
- F Q. You must not really tell us what your lawyers told you.
- A. Okay, okay.
- Q. Because that is private between you and them.
- A. No, I absolutely opposed opening the account because I had, at that time, started to
- G understand that there was the LLC and ----
- Q. All right, you have made your point.
- A. I’m really sorry, but the reasons for ----
- Q. Your point is clear to me.
- H A. -- on the -- on the ----
- Q. You made your point that you were very unhappy and didn't want to open an account?
- A. The account cannot be opened because the account opening -- the account opening administration is directly linked to the ----

A

Q. Mrs Zahmoul, I am going to interrupt you again because you are giving us the why and I understand that, but I am just asking the what at the moment. So, what it seems to me is, is there is a court order and you understand that the court order contained a promise that you would open an account, but at paragraph 17 you were reserving the right -- you are making it clear to us now that you were going to vary that part of the order?

B

A. I intended to make... I had already the intention.

C

Q. But you understood that although you had the right to vary it, what the order provided was a promise that you would open the account. You knew what that meant, even if you were not happy with it and did not agree with it and was going to challenge it. You understood what the order meant?

D

A. Okay. So, without referring to any legal advice I understood that -- I understood that there was language in the order asking to open an account and I had made clear to all in - - to all that I was firmly opposed to that account opening because on October 4, an account opening for the LLC was initiated with the Bank of Jackson Hole without my knowledge and consent twice. And I had started finding this -- this is when I hired an attorney. On October 4. I received an email saying an account ----

E

Q. Again, you must not tell us what your lawyers have said.

A. No, no, this is not my lawyers.

MR JUSTICE MacDONALD: Again, I understand ----

MS CAMPBELL: Have a look again at paragraph 30 -- at 31 on page 2183?

F

A. I am sorry, just your court order, your Lordships, the one with the right to seek variation at paragraph 17, that court order was sent to the Bank of Jackson Hole with a redaction of paragraph 17 and instructing the Bank of Jackson Hole to open the account as per the court order. This is with a redaction of 17, which is a variation.

G

MR JUSTICE MacDONALD: All right. Okay. Go back to 2183.

A. Yes.

H

MS CAMPBELL: Paragraph 31 is you saying to the bank, as I understand your evidence, that you thought because you could vary the order, effectively he had not been successful in getting the court to order him to open an account. Is that what you are saying? We have looked at this order?

A. What is the date?

Q. We have looked at the order which refers to "you shall open an account" and you know you can vary it. So when you communicate the situation to the Bank of Jackson Hole,

A

you have said to them he has not been successful in getting an account opened because you knew you could vary that order?

A. So, your Lordship I'm not representing that he was unsuccessful in misrepresentation. I genuinely thought I had the right and the voice to -- to vary the order. I never breached the order and everybody knew. And I think Burgess Mee applied for variation immediately afterwards. I did myself.

B

Q. Thank you. We know that this was dealt with later on.

A. So, when I said ----

C

Q. I am going to ask you a different question?

A. -- he did not, that's because -- that is absolutely what I -- what I think, that he didn't -- there was -- he could not open that account.

Q. Okay. You are continuing with proceedings in America against Mr Zahmoul about this bank account are you not?

D

A. I'm sorry. The word I remember is "technical breach". I was -- technical breach I was told. It's the technical breach.

Q. All right. So, these proceedings about this bank account, about the mortgage being paid down -- they are proceeding, are they not? They are continuing in America?

E

A. Your lordship they are and the judge in Wyoming joined the respondent to the lawsuit.

Q. Yes. After he was joined, the action against the bank was dismissed; it was discharged with prejudice?

A. And I was there, and the judge ordered costs against me.

F

Q. Yes. So, what benefit is there for you in carrying on with that litigation in America? What is the benefit?

A. Your Lordship -- there is false representation and fraud regarding the LLC. The lawsuit is continuing. This is a dynamic situation and on the timeline when the judge ruled against me versus the bank, there are three matters. The first one is the transfer that the bank did on 16th -- on 15 September at 11.50 p.m. of 675,000 from a joint account.

G

MR JUSTICE MacDONALD: I understand. Again, I have read all about it. I have read all about it?

H

A. I lost on the matter, and on the timeline this is before I started understanding the LLC fraud on the timeline. So that was a -- costs work against me.

MS CAMPBELL: Can I bring you, Mrs Zahmoul, back to my question? How does it advantage you? What do you get? What is the benefit? If you are successful, let us

A

assume the court in America says that Mr Zahmoul behaved really badly. From your perspective, what is the benefit? What do you get out of this?

B

- A. I understand. There is a live misrepresentation, which -- it is not what am I getting; it is what is my downside? I don't -- if there is a live fraud as we speak, and the misrepresentation in the LLC entity, the fraud -- what am I getting? When you have an entity that has been shift -- the ownership has been shifted, I have a legal risk and that needs to be unwound(?). The bank needs to be on notice.

C

- Q. Can I make a suggestion to you Mrs Zahmoul? If these properties were sold, let us say the judge made an order that the properties were sold ----

D

- A. You can assign ----

- Q. -- the mortgage was repaid, the LLCs were completely closed down and were completely removed from the record, and there was no further connection between you and Mr Zahmoul, what would be the benefit of this litigation continuing in America?

E

- A. As long as somebody is perpetrating fraud against me, as long as I find that with the timeline, I will always have to have the best protection that I can. I will not face fraud that I discovered by (inaudible) that I have to take money from fraud in order to pay somebody to explain to me -- fraud that I bring to court. And on a T11, and when the respondent files his answer on 27 April '23, he answered on 16 May 2023, the answer is worth a read ----

F

- Q. All right.

- A. --- because the answer ----

- Q. You have made it clear to us.

- A. -- is as long as somebody is perpetrating anything against me, I will do everything to protect myself.

G

- Q. All right. That is the answer. And does that answer apply as well to the reason why you reported him to the IRS?

- A. Absolutely.

- Q. The same thing.

H

- A. I'm really sorry. That reason is number one, and this is something extracted from my statement -- number one, the respondent himself told me everything there is to know about what the relationship -- and what he was doing to help her between when I found out.

- Q. And again, you are going off on a tangent ----

A

A. I reported it because ----

Q. -- Mrs Zahmoul ----

A. -- it is bigger than me.

Q. For the same reason ----

B

A. It is bigger than me, because it is dangerous, because there are too many things that I do not know, because I have children, because if I -- because I need protection.

Q. But your children will not know anything about this. This is adult material. They do not know about this?

C

A. Your client ----

Q. All right. Can I ask you to look in the bundle, please, at page 2623?

MR JUSTICE MacDONALD: Do you want to have a look at that?

A. It is not the IRS your Lordship. It's the IRS, Criminal Division, Cyber Unit, New York.

D

Q. Have a look at that document?.

A. Yes.

Q. Okay, we have an email exchange from Mr Zahmoul to you. This is back in 2014?

A. Yes.

E

Q. So, Mr Zahmoul is writing to you and he says: "It looks like in 2012-13 we spent over 800,000 after tax."

A. Yes.

Q. "As currently at 2013-14, we are at 750 with one month's..."

F

A. Yes.

Q.

"What I think is reasonable to spend is about 400 to 450 so we can try to put money aside in pension plan and other retirement schemes."

G

A. Yes.

Q. He talks about what he made last year and he talks about the rent and the school costs. He says:

H

"The balance left is 195 to 235 which divided by 12 is 17 and a half to 19 and a half per month. I sent you 104K per year, which leaves the free float of about 91 to 131 for everything else."

Do you remember that in 2014?

A. Absolutely.

A

Q. Okay. Can you now have a look for me please at 2624? So, the next page. This is an email exchange in December 2014 and this is you writing to -- the bottom message is you to Mr Zahmoul and then him to you. So you say:

B

“I am really sorry about the large November/December bill. It is a large amount and unacceptable. I will keep a tight rein on expenses going forward. I do understand that your situation has changed and I will be more supportive. Good luck and follow your dreams.”

And he says: “Thanks for this email.” I read that message to show that you understood there was some financial pressure?

C

A. I did. That is correct.

Q. Thank you?

A. Yes, I would ----

Q. Would you now look at 2625, the next page?

D

A. Can I ----

Q. Just answer and have a look at the next page. 2625 please. This is a year later. This is now December 2015, and at the bottom -- we will work our way up. Start at the bottom. You say: “I cancelled the membership. Last payment will be in January.” I think this was for a gym, if I am right. It was for Kicks Gym, which I am told is quite expensive?

E

A. Absolutely.

Q. It is £1,000 to join, and £600 a month?

A. And now we are not using it.

F

Q. Okay. And so you then write -- or he writes to you, and “You could not tell me here that...” -- I am not sure if that is -- yes that is him. “And you could not tell me here that took a new membership.” I am not sure what that means, but then you write further up,

G

“Sorry about that. Trying this out for three months. If she likes it, and if we go regularly, then I can extend by three or six months. I’m sure she’ll like it a lot and definitely needs a lot of physical activity.”

I presume that is about one of the girls?

A. I am not sure exactly Kicks. It may be a gym in Gloucestershire.

H

Q. Okay?

A. Yes. So, that’s not Kicks.

Q. Okay. And then we see the message again from Mr Zahmoul. He says:

A “I make 100K pre-tax. I send you 2,000 per week post-tax. That is

104 post-tax or 200 pre-tax.”

A. Yes.

Q.

B “On top of that, you spend over 5K per month on credit cards and the likes, but we are burning through the Barclays shares at a faster rate than I anticipated.”

A. Yes.

Q. So do you understand that to mean that he is explaining to you that he is realising the

C shares in Barclays, vesting the shares, and selling them so that he has got cash to pay for your legal costs.

A. Yes.

Q. Yes?

D A. Yes.

Q. And then you write at the top,

E “I understand this must be very stressful for you. I am trying hard to control expenses and will try harder, obviously. Really trying not to do anything frivolous -- only necessities.”

And again, I read that as evidence of you saying: I understand there is a bit of pressure on money; I will try not to spend so much. Is that fair?

A. This is correct and this goes back to, your Lordship, to -- I tried to explain this in my statement. The word “tax” is every other word. There is onshore and offshore and ----

F Q. All right, Mrs Zahmoul, sorry but we are -- I am going to ask you just to ----

MR JUSTICE MacDONALD: Just hold on, Ms Campbell. You explained all of that yesterday. I understand all of that evidence. I do not need you to repeat it.

G A. The figures 104 that we keep going to is -- the respondent knew something that I did not know. He knew he was going to retire and once the children are grown up, I would be retired and as we have said -- has set the number of my retirement at 104. From that -- and the rest is outside -- is not -- is outside. I am out, right. One of the ----

H MS CAMPBELL: At the time, Mrs Zahmoul, you were talking to him and I am trying to look at what was happening at the time and what you knew then -- and what you knew then ----

A. Yes.

A

Q. -- was that there was some financial pressure and you were saying that you would try and be careful not to be not to spend on frivolous things. That is exactly what it says?

B

A. This is not correct because on the other hand, the respondent would make it very clear that if I wanted to spend, I can spend outside -- offshore. I did not have quantitative visibility on offshore, but it was very clear that if you want to do that, you can do it offshore. I have been always clear that the restrictions were about remittances to the UK, as does the memo ----

C

Q. Let us look at what you say ----

A. -- of his own secure ----

Q. -- at the time.

A. -- in 2014 when he was not working. When he was working or not working, we are not sure. The spend is 942,000 onshore as per his own numbers.

D

Q. All I am doing is looking at these emails that are historic, so follow them with me for now.

MR JUSTICE MacDONALD: Let us look at these emails.

A. They are lies.

E

Q. Go to ----

A. They are lies. So, that I am stuck at 104 when he moves. Exactly what happened afterwards is exactly what's happening now.

MS CAMPBELL: I think we can look at ----

F

A. 104 is (inaudible).

MR JUSTICE MacDONALD: All right.

MS CAMPBELL: Have a look at 2626, please. This is an exchange between you and Mr Zahmoul by WhatsApp. Do you see?

G

A. Do you see?

Q. Yes. I think this is forwarding a message that as I understand you had written ----

A. Yes, yes.

Q. -- for Mr Zahmoul to send to the banks because you were going to renovate the property and you could not afford to?

H

A. Yes.

Q. That was the short point?

A. Yes. So, at that time, your Lordship ----

Q. Sorry, the house you wanted to buy?

A

A. Yes. No, we bought the house and this is what the mortgage documents sent to bank of -
- to Barclays Bank were.

Q. All right?

A. So we bought the house and we -- we -- we were raising ----

B

Q. Mrs Zahmoul, it is not that time. I am told this email exchange relates to when you were
going to buy a house from somebody called Steve and you did not buy that house?

A. Yes.

Q. It is different from the one that you actually purchased?

C

A. Yes.

Q. This is a different property?

A. So ----

Q. Do you remember, am I right?

D

A. I do. Now I know there is always what I knew then and what I know now, and the
reconstruction is extremely -- the reconstruction is a reconstruction.

Q. Okay. Mrs Zahmoul ----

A. So what I know now is he was restricted by clean capital reserve. That is the restriction.
Actually his CPA forwarded -- actually when he put in the mortgage the advice was
probably retract the mortgage; otherwise it is going to mess up your tax residency.

E

Q. Can we just read the message?

A. Yes.

F

Q. Halfway down. the message says:

“We absolutely love your house, the perfect location, and the high
standards of the work in detail. Unfortunately, we cannot make it
work at a budget that would meet your expectations. Nadia and I are
very grateful for the opportunity to have met you.”

G

Is it right -- this is the question I am asking: is it right that you drafted that for Mr
Zahmoul because his written English is not very good, and he then took the message and
sent it from you both to ----

A. Absolutely, yes.

H

Q. -- the vendors.

A. Absolutely.

Q. Thank you. All right. Can we go on to the next page?

A. The same year -- now I know our spend was 942.

- A** Q. All right, let us look at page 2627?
A. Onshore. Onshore, UK.
Q. Okay. Have a look at the next page for me?
A. So reconcile those -- reconciling those two facts is enlivening.
- B** Q. Okay. So we can see on 6 May 2018, this is Mr Zahmoul writing to you again, and it is looking at budgets, is it not? He says, "Current high-level budgets for you and the girls."
A. Yes.
- C** Q. Two times 52: that is your allowance, as it were, 104, and then he is paying 66 in tuition, 66 in rent, 9 in insurance, 10 on TRBC, 6 for utilities?
A. I am sorry, this is me writing to him?
Q. No. I think this is him writing to you. He is in green. So, when it is your -- you are at the top. "That's incoming" -- yes?
- D** A. Yes. Absolutely.
Q. And he is saying to you: "That would be \$360"?
A. Yes.
- E** Q. And what he is doing ----
A. 360 is ----
Q. -- is showing how much ----
A. 160,000.
- F** Q. Okay. What he is ----
A. He is using his salary, the 30, to peg. It is always pegging, which now he's doing with the rental revenues of the houses in Wyoming. There is always a box, and in here he's using the box of his salary. 30 translates in 360. 104 is 2,000 times 52. There is always pegging to the budget. There is always a budget, and there is a plan. 2018, and 2018, as
- G** you know, he had met Ms Molina, which I did not know. But in any case, we are looking at a pegging right now. There is a pegging in the balance sheet restricted by what is disclosed, and a pegging of my future income restricted, not by him, but by the
- H** rental revenue of Wyoming, which thus far we have never ever touched. It's been sitting there, but now it's pegged. This is a pegging. This is a box. I make 30. Therefore, the budget is 360. On that year 2018, according to his CPA, we spent 700 and something.
Q. Again, Mrs Zahmoul ----
A. Yes.

A

MR JUSTICE MacDONALD: I need you to concentrate on the question because again I cannot write fast enough when you answer the questions in the way you are answering them, all right? One of the reasons that the judge requires the witness to answer counsel's question is so that we can take a proper note. The faster and faster you talk ----

B

A. I understand.

Q. -- the more and more difficult it is for me to follow?

A. I'm really sorry.

C

Q. All right. So, please try ----

A. It's coming through.

Q. I know it all wants to come out but you need to listen to Ms Campbell?

A. I know.

D

Q. Okay. Thank you.

MS CAMPBELL: I am going to make one statement and ask you a question about it that is going to save me taking you to a lot of documents. In the bundle, there are documents from 2018, 2019, 2020, 2021, right up to 2023?

E

A. Yes.

Q. And in the documents, Mr Zahmoul is trying to ask you to spend less money. Do you agree with me that he has repeatedly asked you to spend less? Could you just focus on that question and tell me whether you agree with that statement? If you do not, you can say "I do not agree."

F

A. No, it's not that. I agree that then he was doing that and now I am warning what I felt back then because it didn't make sense and now I know why. That is what I am trying to say, I am sorry.

G

Q. Okay, but I am just trying to understand whether we agree with each other and I think you said yes. He frequently asked you ----

A. I agree.

Q. -- not to spend ----

H

A. Your Lordship, I am really going to try to speak slowly. I agreed that back then, not only did -- there was all this boxing happening gradually, premeditated, just like the move to Portugal was. Everything is driven by tax memos. Just like the move to tax -- to Portugal was premeditated in order to receive the IPO of Coinbase in '21, it was premeditated since 2018.

- A** Q. Okay.
- A. Likewise, my budget, my restrictions. So when I did this, that is correct. He even asked me to go get a job at Czech Melides(?) College because all my time was given to special needs at CHD.
- B** Q. So he asked you to go and get a job?
- A. He asked me, he said ----
- Q. What, to earn money, did he?
- A. Can you believe that? Yes. When we were spending 142.
- C** Q. All right?
- A. So, again ----
- Q. Mrs Zahmoul, I understand what you are saying, and the judge has made a note about it. Thank you. Can I move on now?
- A. Yes.
- D** Q. Let me just make this last point?
- A. Okay.
- Q. You agree that he was trying to ----
- A. Yes.
- E** Q. -- ask you to spend less. You have a reason. You believe he was -- had a long-term plan, but I just want to ask you ----
- A. No, I didn't know then. I didn't know. I know it didn't make sense but ----
- F** MR JUSTICE MacDONALD: Mrs Zahmoul, listen to the question.
- MS CAMPBELL: Mr Zahmoul -- it is his case and he has told me and I am going to tell the judge -- and he may if he is given a chance -- he will say he was worried about you running out of money and that is why he kept writing to you and asking you to try and not spend so much. Do you accept that?
- G** A. That he was worried?
- Q. About money?
- A. Now, I know clean capital -- worried that the reserve of clean capital would run down, as is tracked by AG Taxes memo, and then he would have to remit funds from offshore,
- H** which I don't know how much ----
- Q. I am sorry, Mrs Zahmoul ----
- A. Plus it would have to be ----

A

Q. It would help me if you just said “yes” or “no” because I am not sure whether you are agreeing with me or not. Let me repeat it. Mr Zahmoul was asking you to spend less because he was worried about money -- that you would run out of money -- that there was not enough money. Do you accept that or do you think there was a different agenda? Just answer me that. Yes?

B

A. Let me --

Q. He was worried about money.

A. At the reconciliation -- So the answer is “no” -- not from where I stand today, no. And our -- the expenses speak better than me. Our level of expenses at the times when he was worried, they speak louder and clearer than I ever will.

C

Q. I understand. So you do not agree?

A. He can say “I am worried”, but next here, not there; or worried in the UK, not there; or worried for this balance sheet, not that one.

D

Q. All right. You have explained. We do not agree and you have explained?

A. I understand.

Q. I wonder now if you will have a look at page 2083?

A. Yes.

E

Q. And this is a table that shows the reservations for the property in Wyoming. Do you recognise this?

A. I am just checking which house it is. The answer is yes, I do. It is one of the two houses.

F

Q. Okay, and you can see the third line down. If we have a look at the columns, the third column shows -- it says “type”. Below we can see “guests”

A. Yes.

G

Q. As I understand it, this is who is booking, whether it is the guest who is going to pay, or you the owner, or you have Mr Zahmoul?

A. Yes.

Q. And we can see that that third line, you have booked the accommodation, and you booked on the 11 November 2022?

H

A. Yes.

Q. And you booked to stay there from the 9 July until 26 August. Yes?

A. And I’m staying there now.

A Q. Yes. You previously, before you purchased... Let me be clear about this: you purchased the first Wyoming property in 2017 and the second one in 2020?

A. That's correct.

Q. And before you owned a property in Wyoming, where would you stay when you went there?

B A. I used to go to Wyoming, your Lordship and stay ----

Q. Where did you stay? I will just keep the questions short?

A. I stay at the Terra Hotel and Rabat, my daughters, the children, are at summer camp.

Q. You stayed in the hotel?

C A. That's correct.

Q. And when you purchased number 17, you did not stay there in the summers because that was let. That is correct, is it not? You continued to stay in the hotel?

A. When we purchased a new one.

D Q. The first one?

A. No, the first, when -- when we purchased the first one, I would drop off the children and stay at the Terra Hotel, and go to Los Angeles to ----

Q. Yes?

E A. Yes.

Q. So, the only time you started to stay in one of your properties in Wyoming was after you've bought the second property?

A. No.

F Q. No?

A. The first time I stayed was during the pandemic at 3100, your Lordship, across the street with my children ----

Q. You have answered my question. 2020 was the first time you stayed?

G A. Yes, and ----

Q. I am told, and you can correct me if I am wrong about this ----

A. Yes.

Q. -- that in 2020 approximately you stayed two months in the Wyoming property?

H A. Yes, that is correct.

Q. Yes, and in 2021, you also stayed two months in the property. It might have been during ----

A. Yes, me and the girls. '21.

- A** Q. And in 2022, it was just one month?
- A. In the summer, but now I live there, so now it's no longer on the market.
- Q. I am just making sure I have got the dates right. It was three months -- sorry, two months in 2020; two months in 2021, and one month in 2022, approximately?
- B** A. It might be in different houses. But, yes.
- Q. Thank you. Now in November 2022 you booked to stay for the summer -- is that right -- as we see here. In November?
- A. In November '20. Oh, they'd booked to come the following summer? Yes, probably, because I ----
- C** Q. We have got the booking stubs. When they send me an email and they say: "We are opening up the calendars for the homeowners. Would you like to reserve your stay?" And so I do. You can see I originally only booked to come and stay one month, not to live permanently.
- D** Q. Yes. Can we have a look at the second booking at 2225, please? Can you see the bottom two lines?
- A. Yes.
- E** Q. That shows the first booking that we have just looked at in November, where you booked to stay for July and August?
- A. Yes.
- Q. And then there is a second booking that you made on 10 March, and that was extending the booking ----
- F** A. Yes.
- Q. -- from August all the way through to November?
- A. That's correct.
- G** Q. And you did that on 10 March?
- A. Your Lordship ----
- Q. Yes or no?
- A. That is correct. Your Lordship ----
- H** Q. Can we have a look now at 2297 please?
- A. So, the situation is ----
- Q. I have not asked a question yet. Please, Mrs Zahmoul ----
- MR JUSTICE MacDONALD: Let us just get to the end of the documents and then we will deal with the explanations.

A MS CAMPBELL: Do not worry about that page. It is the wrong page. Can you have a look at 2995, please? This is a bill from GB Liners, dated 12 July; "Removal of household effects from Hill Villa to Boston." That was for your daughter Jade, was it not?

A. This was when I ----

Q. Was that for Jade?

B A. That's correct, yes. I was going to send back a sea crate.

Q. Can you have a look at 2997, please? This is an email dated 3 August. And this is an email from one of the agents at Outpost who look after the Wyoming properties, Daniel, to Mr Zahmoul. He says:

C "Hi, Karim. Because Nadia is in residence at 3093 indefinitely, we cannot place the requested December 1st-December 15 reservation on the calendar. The winter for 3093 remains blocked off. Until we get written instructions from both parties to open, or at least to open a set of specific dates."

D Here is the question. Did you tell Daniel, or one of the agents at Outpost, to block off the accommodation at 3093 for the whole of the winter?

E A. Your Lordship, I asked him to block off indefinitely and I moved to the property. Your Lordship, this is a dynamic situation. It is one that pains me a lot because it has been represented to you as me misrepresenting things to the court, but it is not because life is moving, things are moving.

Q. Okay. Have a look at ----

F A. And between -- as we read along these emails, what has happened that is not being read is the landlord -- the one girl was coming. My daughter, Jade had finished, was finishing her A levels, and then moving to Boston. The landlord had received seven consecutive late rent payments.

G MR JUSTICE MacDONALD: I have read about that all in your statement?

H A. So, I lost my home. I lost our home, and I needed to -- First I thought I would rent in London, and then that was not wise, because my time in the UK was finished, and my older daughter has more needs than the little one. And to rent a place in London you need a balance sheet or you need reserves. And I cannot just rent anywhere. I can't rent anything or anywhere for them, because they've already been -- they've already seen like a book. So, I decided without security also, rent in London means that my monthly

A

rent will depend on the respondent and I could not do that because that is -- that is (inaudible)

Q. Mrs Zahmoul, when you court and asked for maintenance to cover your rent in London, you had already decided that you would stay in Wyoming, at least until November, because we have seen that you made that booking in March?

B

A. (Inaudible) was blocked because it was told that I'm a liar. So when I came to Court -- when I came for the hearing of June 9, 2023, my intention was to rent in London in September, spend the summer in Wyoming. Sent -- I had never intended for our belongings to go to London ever.

C

Q. Mrs Zahmoul, we have seen on the ----

A. So my intention was to shift my belongings to Lon -- to Wyoming, to the Donkey storage. My intention was to rent a flat in London in September, and once the proceed -- the divorce was over, then decide what the rest of my life and the children's would be. It shifted. It shifted when I realised I would be putting our -- our -- it shifted when, on the 4 July when I moved out of Hill Villa, I couldn't pay the movers. It shifted when I had to get money on the watches in order to pay for the summer and for food. It shifted when -- it shifted because I can't do anything without my own balance sheet, without anyone -- without -- I can't -- I don't -- I will not accept to rent in London with someone else ----

E

MR JUSTICE MacDONALD: Mrs Zahmoul, I understand. All right. You have set this out for me.

F

A. Yes.

Q. Okay. You have set it out. I understand.

A. So, I didn't lie.

G

Q. Listen to Ms Campbell's question, all right? I know that you are saying to me that you did not lie.

A. I did not.

Q. Okay. Well, listen to Ms Campbell's question.

A. Yes.

H

Q. Okay.

MS CAMPBELL: When you booked the accommodation in Wyoming in March to take you through to July, and extended through to November, you had reserved the accommodation right through to November -- and then you told the agents to keep it

A

booked for you, not available for guests, indefinitely. That is what we have just looked at?

A. I'm sorry. I can't say yes or no because I didn't follow. I booked in -- so, booking date is March, and I booked for what? March this year. I booked in March 2022 ----

B

MR JUSTICE MacDONALD: Ms Cambell, I am satisfied. I can see from the documents.

MS CAMPBELL: Thank you, my Lord. I am going to move on, and I am fairly close to finishing. My Lord, I wonder -- there is probably another hour?

A. Your Lordship, my extension at the house ----

C

MR JUSTICE MacDONALD: Just -- just ----

MS CAMPBELL: I may possibly again be able to refine that.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: I wondered whether it would be beneficial, certainly -- it might help me to narrow my questions ----

D

MR JUSTICE MacDONALD: Indeed.

MS CAMPBELL: -- if we had a slightly longer lunch so that everybody could take a break.

MR JUSTICE MacDONALD: Yes.

E

MS CAMPBELL: I know that Ms Molyneux and I have discussed, he is content for me to ask for a slightly longer adjournment and I know that some of the support that Mr Molyneux has, our pupil, is very happy to spend time with Mrs Zahmoul over that period, and I have absolutely no objections so I want to make it clear I am very happy for her to be supported if she needs that and have no queries about that.

F

MR JUSTICE MacDONALD: Well, I am very grateful for that Ms Campbell. Yes I will rise now. What time do you propose?

MS CAMPBELL: If your Lordship would consider this I would say that if we came back at 2.30 or even 3 o'clock ----

G

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: I could then be finished by 4.00.

MR JUSTICE MacDONALD: Yes. I will say 2.45.

MS CAMPBELL: Thank you, my Lord.

H

MR JUSTICE MacDONALD: Thank you.

(Adjourned for a short time)

MR JUSTICE MacDONALD: Yes.

A

A. Absolutely. So, your Lordship, it's a process of 30 years with -- as I wrote in my statement, coherence and understanding coming way before the breakdown and the restricting of the pieces. So, because of this lack that it takes to understand, there was a 10 year -- there was -- these things happened very gradually, slowly, because they become embedded messages inside of you and then they seem generated by you. So,

B

it's progressive, so between '94 all the way to 2009 and '11, when in November '11, I ordered drugs for the first time in my life. That is a long period of encrypting the hardware of one's myelin and circuitry. If you take someone more or less cool, and it takes that long a time to change the internal messaging so that the messages are as warped as the standard programmer intends them to be served -- to serve, to go on the person who did it.

C

MR JUSTICE MacDONALD: Understood.

D

A. Likewise, once there is a complete, and I am lucky -- I am very lucky, once there is a complete -- if you are brave enough to go all the way and go destroy all the circuitry and restart fresh, and that is not something that happens all the time -- it's an exception, rather than a rule -- you can stay. And I am very, very lucky.

E

Q. I understand.

A. Okay. So when that happens, you need another 10 year to piece the things together. And so the process of going through your courts, your Lordship, has been the first break and ----

F

Q. Mrs Zahmoul, I understand.

A. That is why there is a lack of ----

Q. I understand, yes.

A. -- coherence.

G

Q. There is a delay. I understand.

MS CAMPBELL: Thank you very much. A separate topic now. I wonder if you can look at page 2701, please?

MR JUSTICE MacDONALD: Just have a look at the 2701.

H

A. Inconsistency doesn't mean you are in inaccurate. Inconsistencies represent exactly what it is. The incoherence inside of you. They represent the dissonance and the madness, if I make it clear.

MR JUSTICE MacDONALD: Just have a look at that page, all right?

A. Thank you.

A

MS CAMPBELL: This is an affidavit that was prepared for the hearing, or the statement is dated 7 September 2023.

A. Yes.

Q. An affidavit -- sorry?

B

A. Yes.

Q. And you give the address of Hill Villa, Daisy Bank Road, Chelmsford. Why, if it was written September 23?

C

A. That is very representative of how much homeless I have been, because actually I don't know where I live. So that is the answer. The other answer would be... My Barclay statement has stated that address for months. So, I would say either oversight, but it is more being homeless.

Q. But we know you were living in Wyoming?

D

A. Yes. So I knew that my postal address is not the one that my brain registered. I -- as children, more than I, we are in a -- floating without a home.

Q. May I suggest to you, Mrs Zahmoul, that the reason you gave your address as Hill Villa is because you hoped to dupe his Lordship and the court into thinking that the rent you were getting for London was properly being paid to you in this country -- that you were still here?

E

A. Sorry. You read this morning in my email. I am sorry. I need to process what you just said.

Q. All right. Let me break this up. That is not fair.

F

A. You were telling me this is you keep on getting them. No, no. Okay, that's it. We are in a court of law.

Q. You had moved back to Wyoming/ You told the agent that you would be staying ----

A. Exactly.

G

Q. -- until November. So, why did you give a Cheltenham address? I do not understand why you would have done that when you actually were living in your home in Wyoming?

H

A. I didn't. That wasn't a secret. I was not trying to hide that. As much as this one is not a manipulation, the other one is not a secret. All I can say is that this, by its nature, is a freezing order that we ruled the night before, because there was a million dollars in the Coinbase account, which I could -- and all I can say is, because it was written so quickly. Actually, the truth is because I still -- don't know where I live. That is the truth.

A

Q. Have a look for me then, please, another topic again. Look at page 2064, please. I have moved on, Mrs Zahmoul. I am going to ask you about your legal lending now. So have a look at 2064, please?

B

A. Lila(?) is the young one who is at CSC, had a very, very difficult, rough time in the autumn term because of the same reason, because of losing the home in England and because I was no longer on the continent.

MR JUSTICE MacDONALD: Yes, just look at the document. That is what we have moved on to, all right?

C

A. Yes.

MS CAMPBELL: We can see this is dated 28 September 2021 and this is from your solicitors at Withers explaining to Mr Zahmoul's solicitors that you had taken a loan for £280,500/

D

A. This is correct.

Q. Is that right?

A. And 14 days later, Ms Parker replied and offered something pound for pound, and Ms Parker, Diana Parker replied, "Too little, too late." That was 14 to 7 days later. This is where we are probably going.

E

Q. Yes. It is right, is it not, that Mr Zahmoul was prepared to let you both access money in the Bank of Jackson Hole so long as he could access it as well and you had the same amount each?

F

A. I am sorry, could you repeat that?

Q. Yes. Mr Zahmoul was prepared to dip into the savings in the Bank of Jackson Hole if he could use the same money for his legal fees, and that you both use the same amount?

G

A. False, false and false. So number one, they are not savings. These were rental revenues from the two properties that were deposited in a joint personal account, not an LST, and they were never savings. We simply did not need them. They were sitting there.

H

Number two, at the FDA, Judge Koch(?) asked that that debt account because -- I'm really sorry, I've got to back up. My assets at the beginning of this were -- let's call it \$350,000 at Fidelity, of which half were my savings from Lehman Brothers, and the other half were securities. That is all I had to my name alone. And that is what I started off with, with Withers. Judge Koch(?) said the account at Bank of Jackson Hole, that is joint, is frozen, save for payment of the mortgage, which is interest only, with a bullet payment at 2025. Secondly, maintenance of the homes.

A MR JUSTICE MacDONALD: I have read the order of Judge Koch(?) again. So that was not savings and when I asked -- when we asked at the FDA to have access to it for my legal fees, the respondent does not need access for his legal fees because he controls the balance sheet which at that time was 16 million. Then 11 that we knew but 16, five days later. When we asked for -- when my barrister asked for access to those joint funds for my legal fees, the answer was no; we would not do this in the court. They would not agree to give me the permission, but I can ask later as a court or at court. I can apply for variation later when needed. When we asked again in August ----

C MR JUSTICE MacDONALD: Hold on. Rather than doing the whole history, just listen to Ms Campbell's question, all right?

A. Yes.

MS CAMPBELL: Thank you. Can you have a look at page 1839 now, please? 1839?

D A. The third point you said that he would give me access provided he had access, that does not exist at all.

MR JUSTICE MacDONALD: All right. Look at the page.

A. There was no ----

E MS CAMPBELL: Can you see paragraph 38 on that page? You say there: "Withers were informed on 26 September that the respondent would be acting in person." And then you say at the bottom of that paragraph: "Withers terminated their representation on the 29 September 2022." And then you were able to secure Burgess Mee on 24 October 2022. You say the scope of their work was limited to the litigation funding, and Burgess Mee ceased their instructions on 24 February 2023.

F A. That is correct.

G Q. Now, during that time, you had extended the detached loan by £240,000, and you had not mentioned that to the respondent, to Mr Zahmoul, or to the lawyers when they were acting. You had not declared that the loan had gone up by another 40,000, did you?

H A. Forgive me. I appeared before his Lordship on March 1, 2023. I am not sure if I filed the form H because I left go of Burgess Mee on 25th. So, I am not sure if I have the Form H. If your question is: did I borrow 40,000 and intend to hide that, the answer is no.

Q. The question was ----

A. 40,000 were almost non even arranged ----

MR JUSTICE MacDONALD: Let us just take it in stages.

- A. Sorry.
- A Q. The question was: did you increase the loan by 40,000?
- A. The 40,000 was contingent -- was ring-fenced only to apply for an LSPO MPS.
- Q. Okay.
- A. Really fast, with specific details. I signed a contract that said it is only for the LSPO.
- B Q. I understand that. Now, the next part of the question is: did you tell anybody about that? Did you tell Mr Zahmoul? Did you tell the lawyers about that extension to the loan?
- MS CAMPBELL: His lawyers. I appreciate your lawyers knew, but did you tell his lawyers or him when he was in (inaudible due to overspeaking)
- C A. No, because it is -- Your Lordship, Mr Zahmoul, represented that he was representing himself which we know retroactively is not correct. So I do not communicate with him and therefore probably if I didn't file Form H, I apologise but expecting me to send an email to Mr Zahmoul, I would not have done that, no.
- D Q. You did not. Thank you. I wonder if you have a look in the supplementary bundle at page 324, can you see on the bottom of page 324, there is a payment on 28 March 2023 of an additional 40,800.?
- E A. That is exactly what we have been discussing and it's ring-fenced ----
- Q. Exactly. I just wanted ----
- A. -- and it can only be (inaudible).
- Q. Yes. So, you applied to the court for maintenance and legal services provision and we can see that in the bundle at page 389. Would you have a look at that please?
- F A. Yes.
- Q. This is the application. It is dated 18 April 2023?
- A. Yes.
- G Q. And we can see that if you look, you confirm that you are the applicant. The next page is your application for maintenance and so forth?
- A. Yes.
- Q. Yes.
- H Q. At that stage, you were represented -- you were acting in person?
- A. That is correct, yes.
- Q. Now, look at page 2572. So, this is a document that shows who the author of the application is, and we can see that the person who had actually completed the

A

application form was somebody called David Lillywhite, who is a solicitor at Burgess Mee?

A. Yes, Ms Campbell.

Q. So in April you were filing documents that had been prepared by solicitors who were assisting you?

B

A. Your Lordship, we are -- Ms Campbell is saying that because the document properties show that the document belongs to a solicitor, therefore, they were instructed at the time. This is a template that was sent to me by Burgess Mee. The funds were -- 40,000 were lent to them to arrange the LSPO. I didn't receive the funds and they did provide me with the template. It doesn't mean they drafted it. In fact, to be really honest, somebody sent me a draft and I didn't use it because it wasn't good.

C

Q. Just to be clear of the chronology, 28 March there was an additional amount of money, 40,000 pounds?

D

A. Let me -- it was written ----

MR JUSTICE MacDONALD: Just pause there, Mrs Zahmoul.

A. Sorry, yes.

Q. I would just like to say something.

E

A. Yes.

MR JUSTICE MacDONALD: Ms Campbell, I am aware, because I have got into trouble with this before, that if one takes, for example, an MS Word document that counsel have sent in and then re-uses it in another case for an order ----

F

MR MOLYNEUX: That is correct.

MR JUSTICE MacDONALD: -- that can result in it looking like counsel chopped my order.

MS CAMPBELL: I will not proceed with this? (To the witness) Mrs Zahmoul, I am not going to question you about this. Do not worry. I am not going to pursue this point?

G

A. Could I ----

Q. Could you just ----

A. Because the first time they sent it I didn't have the D11 form and his Lordship -- and I think I said (inaudible) so I needed a time date for the order.

H

MR JUSTICE MacDONALD: Yes, do not worry.

MS CAMPBELL: I accept what you say.

MR JUSTICE MacDONALD: Yes.

A MS CAMPBELL: Have a look at page 1839 -- 1-8-3-9. This is where we were looking before. I am concerned that you were giving the judge the impression that you had had practically no legal assistance between September 22 and the date of the proceedings, and at this stage the MPS were looking at April 23. In fact you said that that continued right through for a year, you said. You effectively had no access, if you look at
B paragraph 41: "The applicant has not had access to funds to pursue her case since 13 July 2022."

A. That is correct.

Q. But what we now know is that you had had the detached loan for £280,000 and we know
C that that had been extended. It had been effectively doubled, had it not? It went up to nearly 700 without the interest?

A. Between September 9, 2021, where it started at that level, your Lordship, to when it ran out in August 2022 -- that was 750.

Q. It started out with 280 in September 2021, and by September 2022 that had gone up to
D effectively nearly £700,000. I am rounding the figures?

A. Absolutely.

Q. And then you got another 40,000.

A. In March.

Q. Yes/

A. Ring fenced and added interest.

Q. Which was not referenced anywhere in these documents. You never mentioned this
F before?

A. Not intentionally, but because of either events or people -- Probably, I am really sorry, I would need to check if I find the form page. If I did, it would be there.

Q. And whilst this was happening, Mrs Zahmoul, you were also instructing lawyers in
G America, were you not, because they were pursuing subpoenas on your behalf; they were threatening Mike Deeg with legal action and getting subpoenas against him. Have you had lawyers in America acting for you?

A. I have a bill in the US that is a contingency and it is now 150 or more, and I have not
H paid one dollar yet. Everything the lawyer did so far and really I do not know.

Q. All right?

A. (Inaudible) nothing has been made.

A

Q. I am going to move on to ask about Mr Zahmoul's watches, because these are very special items for him?

A. Your Lordship ----

Q. Let me just ask you the question?

B

A. Your Lordship, do you have any questions on the (inaudible).

MR JUSTICE MacDONALD: No, I do not. Thank you. We are moving on now.

MS CAMPBELL: Mr Zahmoul would like them back. I want to know if they have been sold or whether they are with an agent who's holding them; effectively, you have pawned them. Which is it?

C

A. We had the answer yesterday. You asked me about the watches yesterday and then you asked me about transfers into my Barclays account yesterday and the two -- one represented the other. So the watches which I said yesterday are not matrimonial pot at all, of which I have ----

D

Q. Just tell me where they are, Mrs Zahmoul. Where are they?

A. They are with the institution that lent me the money. And I have -- I just had a grace period and a grace extension. I haven't had the chance to call that. They are still held physically and they do not -- I do not agree with your statement that they belong extremely to one party versus the other.

E

Q. There are 11 items of jewellery that were referenced in his Lordship's last order?

A. Yes.

F

Q. You were asked to explain where they were. You did not respond to that request, but I just want to check, each of the 11 items are safe with the agent that has given you the £50,000. Is that right?

A. It's correct.

G

Q. And subject to you getting the £50,000 pounds in these proceedings to pay the agent, do you agree that you should give Mr Zahmoul the documents so that he can go and get these items back?

A. Of course, except the watches that I consider I like more. That is subject to agreeing which watch, dividing the watches.

H

Q. Okay. Look at page 638.

MR JUSTICE MacDONALD: Sorry, Ms Campbell, I missed the reference again.

MS CAMPBELL: I am so sorry, my Lord. 638.

A

A. I'm really sorry. The watches -- I have paintings in Mr Zahmoul's flat in Portugal. So watches, paintings, all of that goes together. So when you ask me do I agree, as part of pictures, paintings, and everything else, the answer is yes.

MR JUSTICE MacDONALD: Look at the page there.

B

MS CAMPBELL: Item 11. We will work our way up. This is Mr Zahmoul's mother's pendant. Can you see? In paragraph 7, there is a list of 11 items. That belongs to him given to him by his mother. You obviously, I assume, do not want that?

A. Excuse me?

C

Q. I assume you do not want that?

A. Well, his mother tells me (inaudible) I love his mother, but actually I still don't know where it is, so I would -- I don't know where it is. I have to find it. I am not sure if I have it, if it's in Tunisia or if it is in Portugal. I will do my best to find it. I would not hold on to it.

D

Q. All right. Let us look at the items 1-10. The 10 items then (not 11) ten items that are with the agent holding them for £50,000?

A. Yes.

E

Q. Number 10, you accept that this was a gift to Mr Zahmoul from you and a friend called Hajim?

A. Yes.

Q. And number nine, this was a gift to Mr Zahmoul from his father?

A. That's true.

F

Q. Number eight was a gift to Mr Zahmoul on his 18th birthday.

A. I am sorry, I can't -- I was with the one -- anyway. Yes.

Q. And number seven is a gift to Mr Zahmoul on your wedding from your parents?

A. That is correct, yes.

G

Q. Number one is a birthday present for Mr Zahmoul's 45th birthday?

A. So you skipped. The next one to announce is whether -- okay, that's fine, yes.

Q. So, which of these watches ----

H

A. Just the ones that ----

Q. -- do you say you want?

A. The ones you skipped.

Q. Okay. So you are saying you want two to six?

A. Yes.

- A Q. Why?
- A. Why?
- Q. Yes.
- A. Because they're -- okay, let me think this ----
- B Q. Well do not think of the correct answer. Just what you are going to say. Why?
- A. Your Lordship, I am living out of suitcases with no permanent address. I have no access to a balance sheet, no bank record, no leverage to get a loan, and I find this question very difficult because there are -- this is a legal definition of ownership, and I don't know how to answer, I am sorry. So your "why" question, there's nothing sentimental with this, but there are few watches here that I have been wearing. I am not capable at this stage to say anything because I do not have anything.
- C Q. All right. Thank you. You said there is nothing sentimental in these watches for you?
- A. Neither is there for any -- the respondents because therefore, except the engraving, the one from my parents. and anything from his father. The one in the middle that you skipped, I simply got off the shop.
- D Q. Mrs Zahmoul, you sold... I understand you sold the family car for £50,000 pounds. Is that right?
- E A. Not for fifty. That is not correct, and -- and ----
- Q. How much?
- A. 27 to 30 because of -- yeah, it stayed (inaudible) other one.
- F Q. And where did that money go because we could not identify any large sums into your account?
- A. So, I asked someone in Cheltenham to sell it -- the person then -- I used 10,000 to pay my solicitors and another 10,000 to pay a friend who had been lending money to me and to my children. And so there is 12,000 remaining.
- G Q. All right.
- A. Which is still with the person who sold the car.
- Q. Do you accept that that car was worth about £50,000?
- H A. Well, I am telling you how much I sold it for and I understand you but I was in Wyoming, but the paperwork is available. You are telling me how much it is worth and I will be telling you how much it got sold for. The discrepancy ----
- Q. All right. I accept what you say. Can I ask you about your housing particulars?
- A. Yes.

A

Q. You have told this Lordship in your statement that you want to go and live in New York?

B

A. That is correct. I do not know where Lina is going to end at university. She is right now taking her SATs, for which I owe £5,000 to the coaching. And she has a vision to go to Columbia University. I do not know where I will end up. New York is where I was before I came here 18 years ago.

C

Q. The date you last lived in New York was 2004, is it not?

A. Well, Jade was born in 2005. I cannot (inaudible) in Wyoming. It's not my home. So I took my best guess, and this is a little bit like when I -- at the time of the MPS and SPO, I said, well, given Jade's needs, given that Lila is finishing in 2024 or 5, and even that I do not have any more reasons to stay here, in America, it would be New York because that is ----

D

Q. So, in two years?

A. I'm really sorry, please.

Q. I am sorry.

A. I'm sorry. Because Lila is boarding and so I ----

E

Q. Would you not want to be in Massachusetts where your other daughter is?

A. Well, it's one hour, so.

Q. Because at the moment you are choosing to live in Wyoming when she is in Massachusetts. That is quite a long way away.

F

A. That is why I would choose to live in New York. In New York it is one hour 45 minutes flight to Boston, and Wyoming.

G

Q. So, let us have a look at the facts. You have not lived in New York for 18 years; your daughter is not currently in study in New York; she is in Boston; your youngest daughter does not even know where she is going to go; but you want to move for the first time in 18 years to New York when these proceedings are finished. Is that your case?

A. That is correct.

H

Q. All right, and is that because New York is very expensive.

A. Could you please repeat that?

Q. It is expensive, is it not, to buy property in New York?

A. I'm really sorry. You are saying I want to live there because it is expensive.

Q. Yes?

- A. That is the reason.
- A Q. No, I am saying that you are telling the judge you want to live there because that inflates your needs for housing. That is what I am suggesting to you.
- A. Actually, I wouldn't get very much for the price of everything here. It would not give each girl a bedroom with the money.
- B Q. So actually, it is unaffordable for you to live in New York?
- A. No. I'm just being -- you know, I was just being rational. Right? So ----
- Q. You have not produced any particulars for the judge to look at to have an idea of what you would be able to buy in New York, have you?
- C A. I am sorry, I have some, but I will ----
- Q. But it did not enter your statement that we got on Tuesday?
- A. No.
- Q. No. Let me say this. I have only got one point now that I am going to put to you and then we are done, you will be pleased to know?
- D A. Okay.
- Q. I am very grateful for your patience. I am sorry it has taken so long/
- A. No, no. No problem.
- E Q. I am instructed to put this, and I am just going to put it to you and you can say whether you agree with me or not. Mr Zahmoul is absolutely confident that what you said yesterday about Professor Stebbing and the termination is untrue and that you have made that up. Do you accept that?
- F A. No.
- Q. All right. Thank you very much.
- MR JUSTICE MacDONALD: Thank you, Mis Campbell. Just give me a moment, Mrs Zahmoul. I just want to see if Mr Molyneux has any re-examination. Do you have any re-examination, Mr Molyneux?
- G MR MOLYNEUX: There is but it is going to be mercifully short -- mercifully for everybody.
- MR JUSTICE MacDONALD: Would you like a moment to do that?
- H MR MOLYNEUX: I think 60 seconds, but while everybody is in court.
- MR JUSTICE MacDONALD: All right?
- A. Your Lordship, may I answer something?

MR JUSTICE MacDONALD: Just wait there until Mr Molyneux asks some questions.

(After a pause) All right.

Re-examined by MR MOLYNEUX

Q. So Mrs Zahmoul, you were asked about your sister-in-law and your brother in relation to what they knew and what they had said to your husband about his ownership of Coinbase through Topanga. Could you look at 1407 in the bundle please? You told his Lordship that you would or could get a statement from them. Well, I do not think you need to burden yourself with that because at 1407 and 1408 there are emails and WhatsApps. I just want you to confirm that the first, from Sylvie Uziel-Theonardiou(?),

“Karim did not share with me that he invested in Coinbase pre-IPO. When we discussed about investment, he told we had very little Bitcoins. The currency is certainly not shared with the company, and that being a father, he had to invest carefully and conservatively.”

Is that the Sylvie ----

A. Yes.

Q. -- that he was referencing?

A. She offered to come here.

Q. Well, she does not need to do that because you have got this. Okay. 1408, overleaf. If you look at that for me. At the top: “Did you know he had Coinbase shares?” Just tell his Lordship who the author of the green message is?

A. “Did you know he had” ----

Q. Who was sending that message?

A. Me.

Q. Yes. Pause there. “Did you know he had Coinbase shares or did he mention any private equity investments that turned into Coinbase shares?” The response from ----

A. My brother.

Q. Your brother: “No, never.” You say,

“Are you sure? His team told the judge you sent a message to congratulate him on following the Coinbase IPO. Are you sure you did not know that was an investment? The barrister told the judge you knew. Can you please confirm? Thank you so much.”

He replies, “Yes, I am 100% sure.”

A. My brother also offered to come.

Q. Just answer my question.

- A. Yes, that's right.
- A Q. Please do not go off piste.
- A. Yes. That's correct.
- Q. Did you dishonestly procure those by telling ----
- A. No.
- B Q. Listen to the question. Did you dishonestly procure those by telling the author to write them in those terms, or were they voluntary?
- A. Absolutely not.
- C Q. Okay. We will move on. You were asked about a letter. Look at 2171 please. Tell me when you have got the page. So, it was put to you that this text was inconsistent with other texts in which you had been highly critical of the way you had been treated by your husband. And at 2171 I think you see the passage that you were specifically referred to.
- D
- E “You are joyful. You have an immense potential for love. You have a beautiful, vibrant family who adores you. I would never have had the privilege to be full-time parents to Jade Mia and Lila May if it were not for your sacrifices and relentless hard work. I would never have had the opportunity to awaken them to the depth and richness of their inner lives if it were not for your complete trust in me. You put us above everything else and have provided us with a life of privilege and opulence. You have always been generous and never ever questioned any spending for education, travels and enrichment. I am conscious of this and deeply grateful. You provide with grace from your heart, and despite a more difficult work situation in recent years,
- F you continue to provide for us with abundance and elegance. We have maintained the same high standards of living throughout.”
- I am going to ask you a question at the moment. Before I do that, I am going to say that -- I am going to ask his Lordship if he reads the 4,300 odd pages to particularly focus on
- G page 2168 to 2171, which is the entirety of this letter. Could you look at the second page of it, 2169? My Lord will need to read the whole letter ----
- MR JUSTICE MacDONALD: Yes.
- MR MOLYNEUX: -- in order to contextualise this, but halfway down on that second page,
- H nine years ago you write:
- “I climbed on top of a stake with my eyes wide open and set myself on fire, choosing to burn in flames rather than suffering on the long route of wine and slumber. I decided to burn everything I knew and every belief I held. From the ashes I rose. The healing was

A spontaneous, but the knowing is still emerging slowly. Nothing has ever been the same. Some desires were permanently extinct. All compulsive addictions were burnt in the cinders. I did not find my self-worth in the marriage but I healed through it. The marriage dynamics, the projections of pain, the misunderstandings, the loneliness and the suffering provided the playground where I searched, burned down to my core and then rose again. I torched all the old beliefs and the flames of my stake and fanned my own truths. We were less conscious when we embarked on this journey in 1995. We were looking in the wrong place for things that can only be found inside of us. Of course we became angry and disappointed. Of course we engaged in a codependent, destructive dynamic. But I am very proud of how far we have travelled together and how we've reemerged on the other side, stronger, more powerful, more trusting, more loving. Marriage is not the rising of love, the intimacy, the connection your heart desires. You've fallen violently in love with a woman for nearly three years and detached yourself from us during that time. You'll need to not mess on many levels and you make it clear that you are dissatisfied with the current state of affairs. We have nevertheless forged a beautiful working partnership and I am very proud of the progress we made over the lockdown period. For the first time in 25 years I enjoyed spending an extended period of time together and not wanting it to end. For the first time there was no tension between us and a genuine affection, trust and loving friendship. The girls loved it and thrived. The catalyst was your affair with Olivia. Having cleared the air, we transitioned to a completely different relationship. In the absence of any expectations of intimacy the tension subsided and you became less reactive, more open, playful and engaged."

F I am going to put to you the question Ms Campbell put you. Do you think there is an inconsistency, a contradiction between what you are saying there and what you say in your other statements?

A. (No audible response)

G Q. You are shaking your head, but the recording will not pick up body movements. You will have to say yes or no?

A. No.

H Q. Final question: there was an issue which arose about chattels, about watches, and you were taken through a list of watches. A number of those watches obviously have sentimental attachment to Mr Zahmoul. What are you saying should happen to those for the avoidance of any doubt?

A. I don't care. I don't care.

A

Q. Are you happy for him to have returned to him things that are of sentimental attachment, like something from his mother or something from his family?

A. I don't (Indistinct response)

Q. Is that a yes or a no, Mrs Zahmoul?

B

A. Yes.

Q. Yes.

MS CAMPBELL: Well, her first answer was "I don't care."

MR MOLYNEUX: That is why I asked her again. I did not interrupt you. (To the witness)

C

You raised an issue in relation to pictures and paintings. So, you might as well tell...

Your Lordship, rather than prolong the agony for these parties after these proceedings, we might as well try and resolve, if we may, any contents disputes. She mentioned paintings in Portugal. May I put a question about that?

D

MR JUSTICE MacDONALD: I think the reality is, if you seek to adduce the evidence in relation to that issue from your client in the witness box, I do not necessarily have a problem. I am not sure we are going to resolve it that way, but if you wish to put on record or on the record your client's position in relation to it, that may ----

E

MR MOLYNEUX: My Lord, I would like to do that just in relation to what she identified as being of particular importance and I am going to ask her whether there is anything else.

MR JUSTICE MacDONALD: Yes.

A. Yes please.

F

MR MOLYNEUX: Just pause. In relation to the property in Portugal in which your husband lives, you said that there were paintings ----

A. Yes.

Q. -- that you would like to have returned because you describe them as being yours?

G

A. Yes.

Q. Can you tell his lordship exactly what those paintings are? That is the first question. And, secondly, whether there are other things, other specific items that you would, at the end of these proceedings, like to retain, just as Mr Zahmoul would like to retain those watches?

H

A. The pictures are from an artist called Nicole Etienne. They are not a big value, but I know her personally, and some of them are portraits of mine, and I just love them. The second items are the wooden nursery furniture of the children -- two beds from Dragons

A

on Walton Street and a chest of drawers. They're all like Peter Rabbit, hand-painted, and any clothes because my daughters -- the girls would look like my clothes. That is it.

Q. If there are personal possessions of Mr Zahmoul, his personal possessions that are in your possession ----

B

A. Yes.

Q. So not talking about watches now, but more generally, would you have any objection -- and forgive me because this is not strictly re-examination, but I hope you will indulge me to this extent -- would you object to Mr Zahmoul having those returned to him?

C

A. No.

Q. Thank you. I am just going to just see if there is anything I have missed. Mrs Zahmoul, thank you. I do not have any other questions. It may be the Lordship does, so just stay there for a moment?

D

A. Yes.

MR JUSTICE MacDONALD: I do not have any other questions, thank you. I am most grateful to you for helping the court with your evidence. I am going to release you from your oath now and I am going to let you go back to your seat, all right?

E

A. Thank you.

Q. Thank you very much.

(The witness withdrew)

F

MR MOLYNEUX: My Lord, I am going to need a little bit of time, I think, in any event, just to speak to Mrs Zahmoul, after the experience of giving evidence. I wonder whether it would be fairer or Mr Zahmoul to start today anyway because he will then be in purdah overnight, which means obviously he cannot speak to anybody. So my proposal would be that we start tomorrow, subject to what everybody else thinks, and most importantly what you think.

G

MR JUSTICE MacDONALD: What is the likely timing going to be in terms of -- presumably limited, if any, examination-in-chief, and then cross-examination in terms of time estimate.

H

MR MOLYNEUX: So, my Lord, without any criticism at all of Mrs Zahmoul, I anticipate Mr Zahmoul would be a more conventional exercise in the sense that there will not be the ----

MR JUSTICE MacDONALD: Yes.

A MR MOLYNEUX: -- periods out of court, etc. I would like to think I can do this in a day, which depends on how verbose I am and how succinct Mr Zahmoul is. I hope I can speak in relation to the first bit.

MR JUSTICE MacDONALD: All right.

B MR MOLYNEUX: So one day, but I will do my best?

MR JUSTICE MacDONALD: Ms Campbell?

MS CAMPBELL: My Lord, I am in your hands. It seems a shame to lose the best part of an hour, but I am not going to make any representations. Whatever suits the court and Mr Molyneux. I am happy to agree ----

C MR JUSTICE MacDONALD: Yes. I think Mr Molyneux, I am prepared to rise now for the reasons you set out, but I would want to finish Mr Zahmoul tomorrow, so if we can be as sure as we can be that we are going to get through Mr Zahmoul's evidence tomorrow, meaning he will not be in purdah over the weekend, then I am prepared to rise now.

D MR MOLYNEUX: My Lord, I am enthusiastic to start whenever you want to start. I could do that now. I do not want to inconvenience Ms Campbell or you or anybody else.

E MR JUSTICE MacDONALD: I think on balance, I would like to start now in circumstances where I think it reduces the chances of Mr Zahmoul going over the weekend. So, I will rise now for five minutes. Just give me a moment. (After a pause) Yes, I will rise now for five minutes and then we will go through until 4.20 because I have a meeting at 4.30. Thank you.

(A short break)

F MS CAMPBELL: Thank you, my Lord. With your permission I will call Mr Zahmoul into the witness box.

MR JUSTICE MacDONALD: Yes.

Mr KARIM ZAHMOUL, Affirmed

Examined by Ms CAMPBELL

Q. Mr Zahmoul, will you give your full name and address to the court, please?

A. My name is Karim Zahmoul and my address is 158 Rua Rodrigues Sampaio, Lisbon 1 Esquerda (which means left) Lisbon, 1150-28240.

H Q. I know you are answering my question, but your voice is actually quite soft and it might be difficult for everybody else to hear?

A. Okay.

A

Q. And that does not add any volume, I am afraid. But if you can direct your answers as much as you can to his Lordship ----

A. Okay.

Q. -- so that he can hear?

B

A. Sounds good.

Q. You filed a number of documents in these proceedings, Form E, replies and several statements. Are the contents of those documents true and would you ask the judge to take those into account as your evidence today?

C

A. Absolutely.

Q. There is one thing I know that you want to deal with and that is in relation to a debit on the asset schedule for tax that is due from the pensions but on the asset schedule, the ES2, is reference to a lifetime allowance tax that has been included on the schedule as a liability. Is that still a current liability as far as you are concerned, Mr Zahmoul?

D

A. So, I understand it, the UK parliament has changed that law and there is no longer, for the pension I hold, a lifetime allowance. Therefore, there should not be a tax on the money. This is with the current Tory government. I don't know about the next ----

E

Q. So as far as the current law is concerned, you would be happy for us to deduct that liability off the asset schedule?

A. Yes. "Deduct" means remove?

Q. Yes, remove. Thank you very much, Mr Zahmoul. If you wait there, there will be some questions.

F

MR JUSTICE MacDONALD: Thank you, Ms Campbell. Yes, Mr Molyneux.

Cross-examined by MR MOLYNEUX

Q. I am going to pause for a moment because there is a reference which I want to find, wrongly transcribed here.

G

MR JUSTICE MacDONALD: Ms Campbell, whilst I remember, can I have a paper copy of the ES2?

MS CAMPBELL: Yes, I have that.

MR JUSTICE MacDONALD: I have seen them ----

H

MS CAMPBELL: They are here. May I also apologise. I completely forgot to explain. My junior, Ms Amaouche, who has been a vital part of my presentation and preparation, has had to go to a conference of her own, and I have happily released her, and she asked me

A

to offer her apologies to you, but she did not want me to interrupt the proceedings to let you know that she was going.

MR JUSTICE MacDONALD: I understand.

MS CAMPBELL: She will be back tomorrow. Thank you.

B

MR JUSTICE MacDONALD: Yes, thank you.

MS CAMPBELL: I will just hand this up.

MR JUSTICE MacDONALD: Yes.

C

MR MOLYNEUX: (To the witness) Mr Zahmoul, usually the name and the address bit of giving evidence are the uncontroversial bits. And in this case, one out of two is uncontroversial. No dispute in relation to the name, but just the address. Can you just say again what your address is because it is something which has concerned your wife, and I just want you to help me with it, please?

D

A. Sure. My address is 158 Rua Rodrigues Sampaio, 1 Esquerda (which means left) Lisbon 1150-28240.

Q. And that is been the position since Form E, as I recall it?

A. That's been the position since around -- since the passing of my father, which is October 2020.

E

Q. And the issue that arises in relation to this -- you are familiar with it because you obviously read all the correspondence in the statements which Nadia -- we can refer to her as Nadia if you do not mind ----

A. Yes.

F

Q. -- has produced in these proceedings is the difference between that address and the address in Cascais which is in your Portuguese tax return?

A. Correct.

G

Q. Because Nadia is troubled that that might suggest that you have a different property which you have not disclosed in the proceedings and she wants some visibility about that. So, I am going to ask you to provide the explanation in relation to the difference between the address you told the judge and the address in your tax return in Cascais.

H

A. So when I left the UK in 2018, I had a plan to move to Portugal. I wanted to move to Portugal prior to that, but I couldn't move to Portugal and when I was able to move to Portugal, there was a change in law because of EU regulation that made the pension taxable because the European Union is against Portugal having its benefit on pension plan. And the pension would be taxable past the date of 20 February 2020. So a friend

A of mine introduced me to a person in Cascais who had a garage, so I never actually lived in that address. But I was able to file and show the Portuguese government that I had a rental contract with someone, and that allowed me to file in Portugal to say that I was a non-habitual resident of Portugal starting in February 2020. And this is something that Deloitte did for me in Portugal, filed with the authorities and showed the contract that I had for six months, and I believe I have sent this in some correspondence. But I have sent Nadia the answer to her question, showed her the contract that I signed, showed her all the payments that came out of my account at £500 -- €500 per month from the month of February to the month of October, I believe, of '21. So this has stayed on my tax return because in Portugal things are sticky. When she raised it, I addressed it with Luis Leon, who is my current accountant who is a 20-year Deloitte veteran who has gone on his own, and he's fixing it. He asked me yesterday or the day before if he wants me to change it. In my tax form, just like my HMRC tax form showed Hill Villa for a long time, even though it was in Portugal, you know, it's not so -- so relevant from a legal or tax perspective.

Q. So there was a tax advantage of having that address in Cascais?

A. There was a tax advantage in obtaining a non-habitual, European non-habitual residence in Portugal ----

Q. Yes?

A. -- prior to a certain date to benefit from drawing from the pension with zero tax. After February 2020, any withdrawal from the pension, if you want to take a lump sum, was 10%. Because I qualified from pre-2023, I could take annuities at zero per cent, but I cannot take a lump sum. This has been explained in correspondence, by the way.

Q. Yes, of course. But if I understand you correctly, that was not true?

A. In what sense? Which part wasn't true?

Q. In the sense that you weren't living in Cascais. That was not your property, was it?

A. When I was there?

Q. Yes.

A. That was not, yeah -- correct. It's not true, yes.

Q. So another way of saying it is not true would be saying that was a lie for tax purposes in order to advantage yourself, yes?

A. In order to advantage our matrimonial pot, yes.

Q. I understand it might be a lie that benefits you and Nadia, but a lie is a lie. Was it a lie?

- A. No, it was not a lie.
- A Q. What was it?
- A. I paid rent from a contract. I had a paper trail of the rent. I paid somebody £500 a month to have a pied à terre, if you want to call it that, in Lisbon, in Cascais, for the time that I was looking for an apartment, for searching for an apartment where I could live in.
- B I actually discussed it with Nadia at the time. She helped me look at the apartment. I was debating whether I was going to take a two-bedroom from a friend of mine called Bartolome(?) which is the person who introduced me to the guy I rented in Cascais. And
- C instead, I -- you know, she actually convinced me to rent the much more expensive property, which is the property I am in today, which is 158 Rua Rodrigues Sampaio.
- Q. But, Mr Zahmoul, it was an artifice, was it not because you never actually----
- A. It was a ----
- Q. Just listen ----
- D A. I do not think so.
- Q. Just listen. I understand that Nadia did what I am asking you not to do, which is to interrupt. But I am going to ask you not to interrupt. It was a pretence. It was a facade, was it not, because the key is, for that piece of legislation, the key is where you are actually residing. And you were not actually residing there? You were ----
- E A. Not -- not right.
- Q. Just listen to the question, please. You were pretending that you residing there in circumstances in which you were paying out money, but never actually living there.
- F And that is why it was a lie?
- A. Well, I believe I explained to you that my father passed away.
- Q. Yes?
- G A. Right? And so I was in Tunisia. I was traveling. I went to see the girls and Nadia. So, it's not that I was not living there. I had a pied à terre there that I didn't stay in and I filed to basically get the benefit that moving to Portugal should have given me, given the change in legislation in Europe.
- H Q. Well, his Lordship will be able to decide what he wants to do about that ----
- A. Sure.
- Q. In the meantime ----
- A. Yeah, that's correct.

A

Q. -- just look at 1340, please. I want to see whether you see any dissonance between what you have just told his Lordship and what you write down here?

A. Yes. 1340?

Q. 1340. "This is my character."

B

MR JUSTICE MacDONALD: Just let us get to the page.

MR MOLYNEUX: Of course, my Lord.

MR JUSTICE MacDONALD: Do we have volume numbers on the bundles?

MR MOLYNEUX: We do.

C

MR JUSTICE MacDONALD: Which volume is it?

MR MOLYNEUX: Which is why when Ms Vorri was dealing with it she has written on Post-it notes the page numbers which are comprised in each one. I mean, if it is easier, I am sure she would be more than happy to help Mr Zahmoul. I did offer this in court.

D

MR JUSTICE MacDONALD: It might be quicker. Okay. Let us just ----

A. 1340.

MR MOLYNEUX: 1340 please.

A. Yes.

E

Q. So you juxtapose your good character, your integrity, with that of Nadia. And you say here:

F

"My reputation, banking career, is that of someone who challenged the standard or accepted view by receiving repeated feedback ... respected for giving an alternative and balanced opinion in respect of investments, rather than the consensus opinion that was common. And that I was completely trustworthy and honest, which I think was rare in banking at the time. It was these qualities which led to my promotions. It may seem minor, but Nadia and I would have disagreements through our marriage about small acts of dishonesty which I hated. For example, Nadia was comfortable paying bribes in Morocco to queue jump at airports, on arrival, or similar. She represented our marriage as subsisting to potential mortgage lenders after divorce proceedings had begun. I was completely against this sort of dishonesty on a personal level and also took my position as a regulated individual very seriously."

G

H

Do you think that description of yourself is consistent with what you told his Lordship a few moments ago about ----

A. Yes.

Q. -- what you did with this property you never lived in, pretended to live in, in Cascais?

A

A. Yes, I do. I believe it is consistent.

Q. You think that is consistent. Okay. Could you look at 1676, please?

A. 1676?

Q. Yes, please. You might need to put the other one away. I suspect, because otherwise you'll be overrun by documents in short order?

B

A. Sure. I am expecting you to go back to these.

MR JUSTICE MacDONALD: One day we will be able to do this all electronically. It does not seem to be now?

C

A. I prefer to have your computer here.

MR JUSTICE MacDONALD: It is on the horizon.

MR MOLYNEUX: Your Lordship, if it is easier for the witness, he does have it electronically. Assuming he has not flagged it up, I do not mind him doing that.

D

MR JUSTICE MacDONALD: Let us see how we go. Let us check on that overnight, and then maybe he can move to that in the morning if it is possible?

A. 1676 you say, right?

MR MOLYNEUX: 1676 I want to look at. There are a couple of things by way of explanation that we are going to be exploring over the next 20 minutes and then tomorrow. First of all, what the assets are and, secondly, how we have got to where we have got to whereby there is such a difference between your presentation and what Nadia thinks about the asset-base, okay. This document and this question sort of goes to the second of those, because you, in amongst other criticisms you make of Nadia ----

E

F

A. Say again -- in?

Q. In amongst other criticisms which you have made in these proceedings of Nadia, you wrote this to her solicitors -- her then solicitors of Burgess Mee. You say, right at the bottom of this:

G

“Lastly, I am enclosing a list of books that I have read over the years, as suggested by various psychiatrists and psychologists ----

A. Yes.

H

Q. -- “

... that Nadia introduced me to in an effort to better understand Nadia. During the therapy period from 2011 to 2013, Jennifer Gomberoni believed that Nadia had borderline personality disorder and/or PTSD. Nadia, by her own admission, told our dear friend Cody Venetti that

A she had PTSD and that her mum suffered from bipolar disorder in April of 2021. The enclosed list of books includes literature on borderline personality disorder, addiction and narcissistic behaviour, among others. I am providing this information not to expose an idea, but to make you aware of your actions, as it seems increasingly that you are trying to take advantage of someone who may not be well.

B The list of books includes *Trapped in the Mirror*, *Lost in the Mirror*, *Seven Tools to Beat Addictions*, a cocaine recovery book, *Many Lives, Many Masters*, *I Hate You, Do not Leave Me*, *If You Have Controlling Parents*, *Stop Walking on Eggshells*, and *Narcissistic Lovers*."

C Now Nadia sees this as being characteristic of something which she would say some men, many men, do to women, which is to tell them that they are unwell, to say that they are mentally unwell or narcissistic, in order to undermine them. She thinks that this is what you were doing with her solicitors -- her professional relationship with her own solicitors. That is a fair criticism, is it not?

D A. It's a spin; it is not a criticism. I mean, what I'm trying to say is that I have done, since the beginning of this -- of Nadia serving me -- and stop me if you think I am going off piste so that I do not ----

Q. His Lordship will stop you.

E A. Okay, so this has been written -- so we have been at this -- in these proceedings for 1,051 days since the FDA. So, this was written after so much money was expended, after so many attempts of me reaching out to Nadia, after so many attempts of me asking any solicitors of Nadia, and my first email to Ms Bloom here was to offer to meet her, to answer any question with any expert, anyone, anytime, any place. And sadly, this was not being reciprocated and no one was engaging in earnest. So, what I wrote here was to articulate what I thought in earnest. You have to appreciate that she served me on June 3, 2020. We went to Wyoming. We bought a house together jointly. I did not say "you take one house, I will take the other", which in hindsight is probably what I should have done. And I tried my best to make sure that we didn't end up where we are today. I wrote an email, I do not know if you have access to it, if you could point us to where it , is, on June 3. 2020, the day she served me, or two days later, explaining to Nadia what happened to our assets, explained to Nadia what I had. I initiated a spreadsheet which she proceeded to call "origami" to all our friends because she didn't want to engage.

H And at no point was -- she was going through all these proceeding behind the scenes. Now this is, you just, I mean, she just told us that she engaged ----

MR JUSTICE MacDONALD: Rather than running off, as I understand it ----

A

A. Sorry.

Q. -- this email -- you say this email was written in an effort to try and ----

A. Progress it.

Q. Progress it?

B

A. Yes.

Q. Okay, thank you. Yes.

A. Sorry.

MR MOLYNEUX: Do you regret sending it in those terms though?

C

A. No.

Q. I have explained to you how Nadia feels about this, how she perceives writing in those terms to her solicitors?

A. All right.

D

Q. Do you think now it is something that it was helpful to write?

A. I thought it was when I wrote it. I guess it is similar to her when she writes the things that she wrote. I was, like I said -- You know, I am not a rich (inaudible) guy. I am not a Russian oligarch. I work very, very, very hard for my money. And when I saw the kind of money that we lost in this divorce, I do not know how you would have reacted. That is sadly how I reacted. If I've offended her, it was not my intention. As I have written many, many emails to her where I pleaded for her to try to be rational, I wrote an email just around that time to Miss -- to the person that was the MacKenzie friend of Nadia on March 1, which his Lordship met, Monica McGregor. I wrote her an email, I believe on January 16, 2023, where I offered again to -- because she's a forensic expert. She's done work on crypto, and she went and lived in a house in Cheltenham and I have asked her to get involved if she wanted to ask any questions, and there was no response. So, I was despairing. I don't know. It doesn't come across -- maybe it comes across to you as me being attacking her, but it was not my intention.

F

G

Q. So, Mr Zahmoul, I will be -- so you understand the case that I am going to be putting. I am going to explain to his Lordship that this is a case in -- whatever he finds in terms of the quantum of the assets. It is the case in which every action has created an equal and opposite reaction, which is I want to explore the way that assets have been revealed, the way that they have been discovered, and the impact that has had on the proceedings. Do you understand that?

H

- A. Yes.
- A Q. That is the thrust of some of the questions which will probably follow tomorrow?
- A. But before we go to that, you reference your belief that Nadia suffers from PTSD -- post-traumatic stress disorder. And if you look at 2164, you will see letter from Professor Libby, which you exhibited to one of your statements, 2164. We will just look at it.
- MR JUSTICE MacDONALD: 2164.
- MR MOLYNEUX: Please.
- A. 2164.
- C Q. Yes. This is a letter from Professor Libby, which you exhibited to one of your statements, having been exhibited to one of Nadia's statements previously ----
- A. Yes.
- D Q. -- but you were relying on it in this context. And you will see here what Professor Libby says. It is the 12 July 2022.
- “I write in some urgency as I am extremely concerned about the physical and mental welfare of my patient, Nadia Zahmoul. I understand you are acting for her divorce...”
- E Do you have it because I do not want to start if you have not?
- A. Yes. I have it.
- Q.
- F “I understand that you are acting for her divorce in these proceedings that have been going on for some time. I also understand as part of these proceedings, there is a court order which Mrs Zahmoul has been unable to sign, given the allegations made around the matter which she believes are untrue. In circumstances where Mrs Zahmoul has been struggling with significant personal attacks on her character since April 2021, and emotional abuse throughout her marriage, the court order has unfortunately triggered major symptoms of PTSD. I saw Mrs Zahmoul in my clinic on 6 July 2022. I am currently treating her for PTSD in order to help with the symptoms...”
- G It continues in that style. Just keep that in mind, but look at 477, which is a transcript of a ----
- H A. 477?
- Q. -- a hearing which took place in front of his Lordship in ----
- MR JUSTICE MacDONALD: Yes, 477.

MR MOLYNEUX: -- June 2023. 477?

A

A. The LSPO hearing, right.

Q. One of the advantages of you and Mrs Zahmoul having acted in person periodically during these proceedings is that sometimes your words are not said through the medium of a barrister. It is you talking to the judge, and this is one of those times. If you look at 477, about two-thirds of the way down... "So I do not believe."

B

A. Which letter?

Q. It is just after letter E. It says: "So, I don't believe that there is..."

A. Yes.

C

Q.

"Whilst there's liquidity, there are a lot of liabilities that have to share the liquidity. There is also -- she has, you know, a debt where she provided us on the 1 March of a letter from a doctor that she suffers from PTSD -- well, a well-being friend and that exaggerates her PTSD. What I find amazing is that the letter was given to Withers on the 12 July. We had a mediation hearing for a holiday at Withers, which they came to with no intention of making progress. In hindsight, they never disclosed this to us. It was only disclosed to us by the applicant on 1 March. You know, this is a remnant of 2014 where the only time Nadia went to rehab..."

D

E

-- and you then veer off and his Lordship brings you back ----

A. I was overwhelmed.

Q. -- on to matters which were relevant to that hearing. But the point that I want to put to you is that you present there as if this PTSD is something which has just been sprung on you -- as if it is almost irrelevant to the proceedings. It is being used as a device. But you knew, did you not, that Nadia was someone who had been unwell, and who these proceedings were very likely to trigger. That is a fair thing to say, is it not?

F

G

A. Yes, it's a fair thing to say, but can I put context?

MR JUSTICE MacDONALD: Yes.

A. So, what I was trying to articulate here is that this -- you see the letter when it was dated? When was it dated?

H

MR MOLYNEUX: 12 July?

A. 12 July. Do you remember when that was?

Q. Well, the scheme of this arrangement is that I am asking the questions today, so I am going to leave it to you to answer this?

A

A. Okay. So, 12 July was the day that we had a mediation session where you were supposed to come, but (inaudible) yourself the day off. And then -- with Simon Webster, and then the next day, you made an appeal to -- This is about -- We are talking about here the Cigna policy, right, which you are quite familiar with. And you made an appeal, the *cris de coeur* how you called it in your statement to the Judge at the time ----

B

Q. Overblown advocacy, Mr Zahmoul, sorry.

A. Okay.

Q. Oh, sorry. I didn't understand.

Q. I am self-deprecating. Please continue.

C

A. I didn't understand what you were saying, sorry. You put me off and I don't understand what you were saying. I'm not sure what you said. But when you had the letter -- and so what I was trying to articulate to Justice MacDonald at the time was that this letter was available on July 13th, but you chose not to use it. And instead, you basically decided to use compassionate grounds to get Judge Koch(?) to overturn her order and Judge Woodcock's order for Nadia to provide, you know, access to me as a father of my children's insurance policy. Nadia has alienated my children from me in these proceedings, and I was trying to get back what was I felt rightly mine. And so that is what I was trying to bring up in this scheme of mine.

D

E

Q. Mr Zahmoul, let me draw these threads together and bring this phase of the questioning to an end, I think. Nadia, you know, this is what I am going to put to you -- Nadia, you know, is someone who values transparency and feels the need not to be misled or to feel that things are being hidden from her?

F

A. Mmh.

Q. And these proceedings, particularly in relation to the original Coinbase Topanga disclosure, have triggered her, have they not, and made it very, very hard for her to accept anything that you have said. Is that a reasonable summary?

G

A. So, again, I have the benefit of the 26 years of having known Nadia and the reason why, in 2014, we didn't get divorced, and the reason why, actually, I did not want to get divorced this time -- if you understand that I purchased a house on the basis that we were not going to get divorced. And then on January 21 is when, after my father passed away, is when Ms Diana Parker sent me a letter giving me an ultimatum: either you accept to postpone everything one year, or we will meet you on April 7th in front of Job Koch(?) in Bristol with a Form E. And this is a form E, and you have one month to put

H

A it together. So, I didn't know what to do, and of course it increases her PTSD, but I
wasn't the -- I wasn't the cause of that. I was trying to actually, my whole life has been
about making sure that that does not occur. I mean, you can see from all the
communication, everything. We didn't get divorced first time; we renewed the vow for
B my daughters, even though we don't -- we didn't have any more relationship. She did
what she did with my mother's oncologist, and I stayed together. I mean, I stayed with
her. And then I wanted to stay with her further, not to destroy our assets. She is the one
who wanted to proceed with the divorce and then signed me an ultimatum. And I don't
C react well to ultimatum. I don't know how you, in my place, how you would do. But
that is what happened. So, yeah, I guess. We are here today after having lost \$10 million
of mark-to-market and \$4 million of hard-earned money. So, I'm not sure how you
would do if you were me, but that's the way I reacted. And I am sorry if it is in
D contravention to what you are saying.

Q. So a fair, I hope you would agree, summary of that would be that: yes, Nadia is
someone who would be triggered by being misled, but you do not feel that you misled
her?

A. Correct. I do not believe in misled her.

E MR MOLYNEUX: My Lord, should we pause there because it brings us on to a totally
different but relevant topic?

F MR JUSTICE MacDONALD: Yes. I think so. Mr Zahmoul, you may know, because you
are now under oath, and you will stay under oath until the end, you must not talk to
anybody at all about the case overnight?

A. I can be on my computer, doing -- reading my statements, that will be all right.

MR JUSTICE MacDONALD: Yes. The embargo - the injunction is not to talk to anybody?

A. I understand.

G MR JUSTICE MacDONALD: All right. Okay. Thank you. Thank you. 10.30 tomorrow
morning.

(Adjourned until 10.30 a.m. on Friday, 23 February 2024)

IN PRIVATE

A **Marten Walsh Cherer hereby certifies that the above is an accurate and complete record of the proceedings or part thereof.**

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